

Greater China Auto, EV and EV battery (H)

2Q26/1H26 preview: domestic softness, export beats, cost inflation continues

Rating Change

Cut '26E sales volume; roll over valuation to 2H26-1H27E

We preview 2Q26 earnings for auto OEMs, parts suppliers and dealers, and revise POs across the board, mainly to reflect changes in volume assumptions, profitability outlook and a rollover in our valuation base from 2026E to 2H26-1H27E or average of 2026-27E. For auto OEMs, we cut our 2026 volume forecasts for BYD, Geely, NIO, Li Auto, Xpeng, BAIC, GAC, GWM, VOYAH and Seres due to softer domestic demand, but raise forecasts for Leapmotor and Chery on stronger model cycles and export growth. We downgrade Seres from Buy to Underperform, due to (1) volume and margin pressure amid stiff competition for M8/M9; and (2) a weaker-than-expected 1H26 earnings and reduced visibility on profitability.

Auto OEMs: weak domestic sales & raw-material inflation

Key expectations for 2Q26 results: (1) EV sales growth was generally weaker than expected after trade-in subsidies were cut and demand was pulled forward. Leapmotor and NIO outperformed on strong model cycles, while BYD's volume growth was constrained by limited Gen-2 Blade Battery capacity, and GWM saw weak domestic sales due to destocking and lackluster new model performance. (2) Traditional SOE OEMs such as BAIC and VOYAH reported softer-than-expected sales, while GAC delivered broadly in-line results, supported by solid performance from its self-owned brands. (3) Overseas growth remained a bright spot in 1H26, led by robust EV exports. We expect BYD/Chery/Geely/Leapmotor exports to grow 72%/39%/149%/340% YoY in 2026 to 1.85mn/1.8mn/1.05mn/220k units, respectively. (4) All OEMs faced raw-material cost inflation, including memory chips, batteries and metals, although some were able to mitigate the impact through a more favorable product mix, higher export exposure, premium brands and greater in-house technology content. BYD remains in a transition year as it shifts capacity from Gen-1 to Gen-2 batteries, limiting EPS growth in 2026. We expect BYD's earnings growth to reaccelerate in 2027, supported by exports, ESS shipments and domestic margin recovery.

Auto parts: a mixed bag; margins remain the key focus

For 2Q26/1H26 results, most auto parts companies are expected to be affected by softer China demand, with stronger overseas sales and market-share gains partly offsetting the weakness. Fuyao, Minth, Nexteer are expected to benefit from international growth and customer-share expansion, helping ease domestic volume pressure. Profitability diverged across the sector. Fuyao is expected to maintain resilient 2Q26 margins, supported by ASP expansion, market-share gains and operating leverage. In contrast, Minth and Nexteer should face margin headwinds from raw material inflation and annual price cuts.

04 August 2026

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Exhibit 1: PO summary

BofA's latest Rating/PO

Company	Rating	PO		PO Pot'l Upside
		Old	New	
XPeng-H	B	98.0	74.0	51%
Leapmotor	B	65.0	60.0	48%
XPeng	B	25.0	19.0	46%
Minth	B	57.0	40.0	45%
Joyson - H	B	24.0	18.8	41%
Geely	B	29.3	27.3	39%
BYD-H	B	119	123	30%
Fuyao - H	B	70.0	75.0	29%
Nexteer	B	8.2	5.6	28%
Chery	B	38.0	34.0	24%
Li Auto-H	N	70.0	64.4	24%
NIO	N	6.8	6.0	23%
NIO - H	N	53.0	47.0	22%
Li Auto	N	18.0	16.5	21%
GWM - H	N	14.3	10.8	21%
VOYAH	N	4.1	3.4	15%
Zhongsheng	U	8.0	4.5	0%
Seres - H	B->U	100	46.0	0%
GAC-H	U	3.2	2.3	-1%
BAIC	U	1.4	0.8	-8%
Yongda	U	1.7	0.7	-15%
LK Tech	U	3.2	1.2	-21%

Source: BofA Global Research. Note: "B"="Buy",
"N"="Neutral", "U"="Underperform"

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Refer to important disclosures on page 54 to 57. Analyst Certification on page 50. Price Objective Basis/Risk on page 45.

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Timestamp: 03 August 2026 04:30PM EDT

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Contents

Auto OEMs	6
BYD	6
BAIC	8
Chery	9
GAC	11
Geely	13
Great Wall Motor	15
Leapmotor	17
Li Auto	19
NIO	21
Seres	23
VOYAH	26
Xpeng	28
Auto parts	30
Fuyao	30
Joyson	32
Minth	34
Nexteer	36
LK Tech	38
Auto dealers	40
Yongda	40
Zhongsheng	42

Exhibit 2: BofA Greater China auto sector coverage – sales volume, earnings, PO changes summary

We adjust POs across the board

Auto OEM	Ticker	Mkt. cap (USD bn)	ADTV (US mn)	Rating	PO		PO up/ downside	2026 Volume sales (unit)			2026 Net income (RMB mn)			2026 Volume sales YoY (%)	2026 NI YoY (%)
					Old	New		Old	New	change	Old	New	Change		
BYD-H	1211 HK	121	348	B	119	123	30%	4,953,844	4,700,011	-5.1%	36,535	36,068	-1.3%	2.1%	10.6%
BYD-ADR	BYDDY US	120	21	B	15.0	16.0	34%	4,953,844	4,700,011	-5.1%	36,535	36,068	-1.3%	2.1%	10.6%
Geely	175 HK	27	171	B	29.3	27.3	39%	3,507,345	3,256,248	-7.2%	20,704	20,659	-0.2%	7.7%	43.4%
Chery	9973 HK	20	14	B	38.0	34.0	24%	2,909,960	2,992,230	2.8%	18,142	18,024	-0.7%	20.9%	18.5%
XPeng	XPENG US	12	107	B	25.0	19.0	46%	528,371	474,815	-10.1%	-2,320	-3,488	NA	10.6%	NA
XPeng-H	9868 HK	12	131	B	98.0	74.0	51%	528,371	474,815	-10.1%	-2,320	-3,488	NA	10.6%	NA
Leapmotor	9863 HK	7	57	B	65.0	60.0	48%	908,618	934,055	2.8%	1,172	1,193	1.8%	56.6%	121.5%
GWM - H	2333 HK	18	24	N	14.3	10.8	21%	1,505,259	1,351,784	-10.2%	12,021	9,010	-25.0%	2.1%	-8.7%
Li Auto	LI US	14	61	N	18.0	16.5	21%	464,353	421,895	-9.1%	-2,715	-5,166	NA	3.8%	NA
Li Auto-H	2015 HK	14	108	N	70.0	64.4	24%	464,353	421,895	-9.1%	-2,715	-5,166	NA	3.8%	NA
NIO	NIO US	12	203	N	6.8	6.0	23%	479,524	451,508	-5.8%	2,639	2,377	-9.9%	38.5%	NA
NIO - H	9866 HK	12	34	N	53.0	47.0	22%	479,524	451,508	-5.8%	2,639	2,377	-9.9%	38.5%	NA
NIO - SP	NIO SP	11	1	N	6.8	6.0	23%	479,524	451,508	-5.8%	2,639	2,377	-9.9%	38.5%	NA
VOYAH	7489 HK	1	6	N	4.1	3.4	15%	193,043	178,197	-7.7%	1,543	1,454	-5.7%	18.7%	43.0%
Seres - H	9927 HK	15	11	U	100	46.0	0%	513,215	452,841	-11.8%	6,536	-116	NA	-12.4%	NA
GAC - H	2238 HK	7	5	U	3.2	2.3	-1%	1,831,394	1,750,827	-4.4%	-1,765	-10,139	NA	1.7%	NA
BAIC	1958 HK	1	2	U	1.4	0.8	-8%	825,877	761,827	-7.8%	-1,436	-3,533	NA	-7.8%	NA
Auto parts makers	Ticker	Mkt. cap (USD bn)	ADTV (US mn)	Rating	PO		PO upside/ downside	2026 Revenue (RMB mn)			2026 Net income (RMB mn)			2026 Revenue YoY (%)	2026 NI YoY (%)
					Old	New		Old	New	%	Old	New	%		
Fuyao - H	3606 HK	22	20	B	70.0	75.0	29%	52,653	51,689	-1.8%	9,716	9,590	-1.3%	12.9%	3.0%
Joyson - H	699 HK	5	6	B	24.0	18.8	41%	62,649	61,358	-2.1%	1,766	1,666	-5.7%	0.3%	24.7%
Minh	425 HK	4	25	B	57.0	40.0	45%	28,965	28,929	-0.1%	3,104	3,042	-2.0%	12.4%	13.0%
Nexteer	1316 HK	1	8	B	8.2	5.6	28%	4,836	4,793	-0.9%	147	136	-7.0%	4.6%	33.7%
LK Tech	558 HK	0.3	2	U	3.2	1.2	-21%	6,420	5,609	-12.6%	440	38	-91.4%	-3.7%	-89.2%
Auto dealers makers	Ticker	Mkt. cap (USD bn)	ADTV (US mn)	Rating	PO		PO upside/ downside	2026 Revenue (RMB mn)			2026 Net income (RMB mn)			2026 Revenue YoY (%)	2026 NI YoY (%)
					Old	New		Old	New	%	Old	New	%		
Zhongsheng	881 HK	1	9	U	8.0	4.5	0%	160,782	127,976	-20.4%	1,328	665	-49.9%	-22.2%	NA
Yongda	3669 HK	0.2	1	U	1.7	0.7	-15%	48,887	48,182	-1.4%	-166	-261	NA	-7.7%	NA

Source: BofA Global Research estimates * We use non-GAAP net profit(loss) attributable to ordinary shareholders for Li Auto, XPeng, NIO.

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Exhibit 3: China auto/EV stock comp table

We list stocks under BofA coverage below

Company	Ticker	Mkt cap (USD bn)	Rating	QRQ	PO	Up/ downside Potential	Share price Currency	P/E		P/S		EPS growth		EPS CAGR 2026-28E	PEG 26E	ROE 26E
Auto OEM								26E	27E	26E	27E	26E	27E			
BYD-H	1211 HK	121	BUY	C-1-7	123	30%	HKD	20.6	14.9	1.0	0.8	10.6%	38.8%	21.3%	1.0	13.9%
BYD-ADR	BYDDY US	120	BUY	C-1-7	16.0	34%	USD	20.4	14.7	1.0	0.8	10.6%	38.8%	21.3%	0.7	13.9%
Geely	175 HK	27	BUY	C-1-7	27.3	39%	HKD	12.4	7.8	0.4	0.4	43.4%	50.2%	27.5%	0.4	20.6%
Chery	9973 HK	20	BUY	C-1-7	34.0	24%	HKD	7.3	6.2	0.4	0.4	18.5%	19.5%	17.5%	0.4	31.4%
XPeng	XPEV US	12	BUY	C-1-9	19.0	46%	USD	N.M	N.M	1.0	0.8	NM	NM	N.A	N.A	N.A
XPeng-H	9868 HK	12	BUY	C-1-9	74.0	51%	HKD	N.M	N.M	0.9	0.8	NM	NM	N.A	N.A	N.A
Leapmotor	9863 HK	7	BUY	C-1-9	60.0	48%	HKD	41.6	17.6	0.5	0.4	121.5%	136.5%	N.A	0.4	8.1%
Great Wall-H	2333 HK	18	NEUTRAL	C-2-7	10.8	21%	HKD	10.3	6.2	0.5	0.4	-8.7%	56.5%	33.4%	0.3	9.9%
Li Auto	LI US	14	NEUTRAL	C-2-9	16.5	21%	USD	N.M	N.M	0.9	0.8	NM	NM	N.A	N.A	-8.4%
Li Auto - H	2015 HK	14	NEUTRAL	C-2-9	64.4	24%	HKD	N.M	N.M	0.9	0.8	NM	NM	N.A	N.A	-8.4%
NIO	NIO US	12	NEUTRAL	C-2-9	6.0	23%	USD	128.4	40.5	0.6	0.5	NM	216.9%	N.A	N.A	N.A
NIO - H	9866 HK	12	NEUTRAL	C-2-9	47.0	22%	HKD	128.9	40.7	0.6	0.5	NM	216.9%	N.A	N.A	N.A
NIO - SP	NIO SP	11	NEUTRAL	C-2-9	6.0	23%	USD	127.8	40.3	0.6	0.5	NM	216.9%	N.A	N.A	N.A
VOYAH	7489 HK	1	NEUTRAL	C-2-7	3.4	15%	USD	6.4	4.7	0.2	0.2	NM	NM	N.A	0.2	N.A
Seres - H	9927 HK	15	UNDERPERFORM	C-3-9	46	0%	HKD	N.M	18.2	0.8	0.7	NM	NM	N.A	N.A	-0.3%
GAC-H	2238 HK	7	UNDERPERFORM	B-3-8	2.3	-1%	HKD	N.M	N.M	0.4	0.4	NM	NM	N.A	N.A	-10.2%
BAIC	1958 HK	1	UNDERPERFORM	B-3-9	0.8	-8%	HKD	N.M	N.M	0.0	0.0	NM	NM	N.A	N.A	-6.3%
Industry average								23.3	14.8	0.8	0.7	28.8%	48.0%	25.1%	0.6	5.0%
Auto parts makers																
Fuyao Glass-H	3606 HK	22	BUY	B-1-7	75.0	29%	HKD	13.6	11.6	2.8	2.5	3.0%	17.6%	15.4%	0.9	24.8%
Joyson - H	699 HK	5	BUY	C-1-7	18.8	41%	HKD	10.1	8.4	0.5	0.5	13.3%	17.1%	15.8%	0.6	9.3%
Minth	425 HK	4	BUY	C-1-7	40.0	45%	HKD	9.0	7.7	1.0	0.9	13.0%	16.6%	14.6%	0.6	12.4%
Hesai	HSAL US	3	BUY	C-1-9	27.0	60%	USD	34.9	18.1	4.3	3.3	17.0%	92.7%	52.3%	0.7	5.5%
RoboSense	2498 HK	1	BUY	C-1-9	38.0	63%	HKD	N.M	232.3	3.4	2.5	NM	NM	N.A	N.A	-5.0%
Nexteer	1316 HK	1	BUY	C-1-7	5.6	28%	HKD	10.3	8.3	0.3	0.3	33.7%	23.3%	17.4%	N.A	6.3%
Sanhwa-H	2050 HK	23	UNDERPERFORM	C-3-7	30.0	13%	CNY	21.6	18.8	4.5	4.0	9.8%	14.5%	13.2%	1.6	13.4%
LK Technology	558 HK	0	UNDERPERFORM	C-3-8	1.2	-21%	HKD	13.0	9.5	0.4	0.3	-89.2%	320.5%	139.9%	0.1	8.2%
Industry average								21.0	19.7	2.8	2.5	6.7%	38.4%	24.5%	1.4	12.5%
Auto dealers																
Zhongsheng	881 HK	1	UNDERPERFORM	C-3-7	4.5	0%	HKD	13.9	7.8	0.1	0.1	NM	NM	N.A	N.A	1.5%
Yongda	3669 HK	0	UNDERPERFORM	C-3-9	0.7	-15%	HKD	N.M	8.7	0.0	0.0	NM	NM	N.A	N.A	-3.1%
Industry average								12.1	8.0	0.1	0.1	NM	NM	N.A	N.A	-0.8%

Source: BofA Global Research estimates, Bloomberg

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Exhibit 4: Valuation change summary

We summarize valuation methodology and rationale for changes below

Company Auto OEM	Ticker	Rating	PO		Valuation Methodology	Rationale for valuation changes
			Old	New		
BYD-H	1211 HK	B	119	123	SOTP	We cut 2026/27E sales volume by 5%/1%, and roll over our valuation base from 2026E to average of 2026-27E, target multiple remains unchanged; we raise 2027E EPS by 18%
BYD-ADR	BYDDY US	B	15.0	16.0	Conversion from BYD-H's PO	Unchanged
Geely	175 HK	B	29.3	27.3	P/E + DCF	1) P/E: HKD28.0->23.4, as we cut 2026/27E earnings by 0.2%/0.2%, roll over our valuation base from 2026E to average of 2026-27E, and lower target multiple from 13x to 10x 2) DCF: HKD30.7->31.2, as we lift 2026-36E FCF assumption, and we lower WACC from 13.3% to 13.2%
Chery	9973 HK	B	38.0	34.0	P/E + DCF	1) P/E: HKD32.3->31.1, as we cut 2026/27E earnings by 1%/4%, roll over our valuation base from 2026E to average of 2026-27E, and lower target multiple from 9x to 8x 2) DCF: HKD44.3->36.7, as we lower 2026-36E FCF assumption, though we lower WACC from 14.6% to 14.4%
XPeng	XPEV US	B	25.0	19.0	EV/sales + DCF	1) EV/sales: USD25.9->18.5, as we cut 2026/27E sales volume by 10%/9%, roll over our valuation base from 2026E to 2H26-1H27E, and cut target multiple from 1.5x to 1.0x 2) DCF: USD23.4->19.2, mainly as we cut 2026-36E FCF assumptions, though we lower WACC from 11.6% to 11.4%
XPeng-H	9868 HK	B	98.0	74.0	Conversion from ADR's PO	Unchanged
Leapmotor	9863 HK	B	65.0	60.0	EV/sales + DCF	1) EV/sales: HKD73.3->60.3, as we lower target multiple from 0.8x to 0.5x, though we rollover our valuation base from 2026E to 2H26-1H27E and raise 2026/27E sales volume by 3%/5%, 2) DCF: HKD56.7->60.0, as we lift 2026-36E FCF estimates, and lower WACC from 14.0% to 13.8%
Great Wall-H	2333 HK	N	14.3	10.8	P/E + DCF	1) P/E: HKD12.5->10.2, as we cut 2026/27E earnings by 25%/22%/23%, and roll over our valuation base from 2026E to average of 2026-27E EPS, target multiple remains unchanged 2) DCF: HKD16.2->11.4, as we lower 2026-36E FCF assumption, though we lower WACC from 11.0% to 10.7%
Li Auto	LI US	N	18.0	16.5	EV/sales + DCF	1) EV/sales: USD24->20, as we cut 2026/27E sales volume by 9%/5%, lower EV/sales multiple from 0.8x to 0.6x, and roll over our valuation base from 2026E to 2H26-1H27E 2) DCF: USD12.0->13.0, as we lift 2026-36E FCF assumptions, and lower WACC from 15.0% to 14.9%
Li Auto-H	2015 HK	N	70.0	64.4	Conversion from ADR's PO	Unchanged
NIO	NIO US	N	6.8	6.0	EV/sales + DCF	1) EV/sales: USD8.1->6.8, as we cut 2026/27E volume sales by 6%/2%, roll over our valuation base from 2026E to 2H26-1H27E, and lower target multiple from 0.8x to 0.6x 2) DCF: USD5.5->5.1, as we cut 2026-36E FCF assumptions, though we lower WACC from 14.1% to 13.9%
NIO - H	9866 HK	N	53.0	47.0	Conversion from ADR's PO	Unchanged
NIO - SP	NIO SP	N	6.8	6.0	Conversion from ADR's PO	Unchanged
VOYAH	7489 HK	N	4.1	3.4	EV/sales + DCF	1) EV/sales: USD5.3->4.4, as we roll over our valuation base from average of 2026-27E to 2027E sales, and cut 2026/27E volume sales by 8%/9% 2) DCF: USD2.9->2.4, as we cut 2026-36E FCF assumptions though we lower WACC from 15.4% to 14.0%
Seres-H	9927 HK	U	100	46.0	P/E + DCF	1) P/E: HKD100->38, as we expect 2026E net income to turn negative in 2026E, and cut 2027E earnings by 54%, and roll over our valuation base from 2026E to 2H26-1H27E EPS, target multiple remains unchanged 2) DCF: HKD100->54, as we lower 2026-36E FCF assumption, and lift WACC from 14.9% to 15.4%
GAC-H	2238 HK	U	3.2	2.3	P/B	We change our valuation method from average of P/B and DCF to P/B only. We roll over our valuation base from 2026E to average of 2026-27E BVPS, while we lower 2026-27E BVPS, and cut target multiple from 0.25x to 0.2x
BAIC	1958 HK	U	1.41	0.80	P/B	We cut 2026/27E volume sales by 8%/5%, lower target multiple from 0.18x to 0.11x, while we roll over our valuation base from 2026E to average of 2026-27E BPS
Auto parts makers						
Fuyao Glass-H	3606 HK	B	70.0	75.0	P/E	We cut 2026/27E earnings by 1%/4%, while we rollover our valuation base from 2026E to 2H26-1H27E EPS, target multiple remains unchanged
Minth	425 HK	B	57.0	40.0	P/E	We cut 2026/27E EPS by 2%/1%, and cut target multiple from 17x to 12x
Nexteer	1316 HK	B	8.2	5.6	P/E	We lower 2026/27E EPS by 7%/6%, cut our target PER from 18x to 12x, while we roll over valuation base from 2026E to 2H26-1H27E EPS
LK Technology	558 HK	U	3.2	1.2	P/E	We roll over valuation base from 2026E to 2027E, and cut EPS by 72% in 2027E, target multiple remains unchanged
Auto dealers						
Zhongsheng	881 HK	U	8.0	4.5	P/B	We change from P/E to P/B valuation method, and lower 2026E BVPS. Our target multiple of 0.22x is 2SD below Zhongsheng's average historical one-year forward P/B in the past one year.
Yongda	3669 HK	U	1.67	0.71	P/B	We lower 2026E BVPS, and cut target multiple from 0.35x to 0.15x

Source: BofA Global Research estimates

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Auto OEMs

BYD

1H26 sales slightly behind estimates, while exports outperformed

In 2Q26, BYD reported 1.11mn units of vehicle volume sales, down 3% YoY/up 58% QoQ. 1H26 sales were down 16% YoY, accounting for 36.5% of our previous 2026 sales forecasts, behind consensus. In 1H26, domestic sales volume contracted 40% YoY to 1.02mn unit cars, while export sales read 792k units, up 178% YoY. The export sales tracked in line with BYD's full-year guidance of no less than 1.5mn units. We expect its export growth momentum to sustain in 2H26 and reach 1.85mn units (versus 1.05mn units in 2025). In the overseas, BYD is accelerating localized production. The company's Thailand and Brazil production plants are in operation now, Hungary and Indonesia plants are approaching mass production. In 4Q26-2027, BYD plans to roll out the second-gen blade battery-based EV models in the overseas markets, which could further help the sales performance.

Domestic sales see sequential improvement in 2H26 on rising battery capacity

In the domestic market, BYD faced headwind in 1H26 due to sluggish industry sales, intensified competition and supply bottleneck in the 2nd blade battery. In 2H26, the company is expected to launch Seal 08 EV/DM-i (expect monthly sales of 8-10k), Qin Max EV (>20k), Sealion 08 EV/DM-i (>8k) and new Tang DM-i (5-8k), and Fangchengbao S series (>10k) in Sep'26. For 2H26, BYD's domestic sales will see HoH improvement, given the increasing capacity of the 2nd blade battery capacity.

Earnings revision

Factoring in BYD's 2Q26 sales volume and new model pipeline, we cut its vehicle volume sales for 2026/27/28E by 5%/1%/1%. We lower 2026 GPM forecast by 0.2ppt to reflect the raw material costs inflation but lift 2027/28E GPM by 0.7ppt/0.3ppt on higher share of sales from export/premium brands. Net-net, we trim 2026E EPS by 1% but lift 2027/28E EPS by 18%/13%. We reiterate Buy rating as we expect BYD to improve its car spec and performance across more of its EV models, and export in 2026, to support demand.

Exhibit 5: New vs. old estimates

We cut our 2026E EPS by 1% but lift 2027/28E EPS by 18%/13%, respectively

	2026F			2027F			2028F		
(RMB mn)	Old	New	dif. (%)	Old	New	dif. (%)	Old	New	dif. (%)
Total vehicle volume sales	4,953,844	4,700,011	-5.1%	5,400,187	5,352,477	-0.9%	5,750,370	5,705,011	-0.8%
PEV volume sales	4,885,428	4,634,446	-5.1%	5,318,088	5,277,077	-0.8%	5,651,851	5,618,302	-0.6%
BYD brand	4,279,626	4,039,528	-5.6%	4,628,618	4,592,527	-0.8%	4,896,766	4,868,085	-0.6%
Denza	213,495	208,180	-2.5%	247,118	248,781	0.7%	283,554	285,668	0.7%
Fand Cheng Bao	384,968	379,543	-1.4%	434,049	427,559	-1.5%	462,110	455,237	-1.5%
Yangwang	7,340	7,196	-2.0%	8,303	8,210	-1.1%	9,421	9,311	-1.2%
CEV volume sales	68,416	65,565	-4.2%	82,099	75,400	-8.2%	98,518	86,710	-12.0%
Consolidated sales (RMB mn)	870,426	845,888	-2.8%	950,342	974,720	2.6%	1,017,255	1,067,501	4.9%
Auto related and others	714,955	690,573	-3.4%	792,544	805,438	1.6%	857,095	884,686	3.2%
Consumer electronics	155,392	155,237	-0.1%	157,723	169,208	7.3%	160,088	182,744	14.2%
Gross profit	156,740	150,548	-4.0%	173,519	184,517	6.3%	187,665	200,445	6.8%
Operating profit (clean EBIT)	30,528	29,502	-3.4%	36,670	45,522	24.1%	41,180	48,219	17.1%
Profit before tax	44,755	43,843	-2.0%	52,230	60,852	16.5%	57,772	64,792	12.2%
Net Profit before minority interest	38,042	37,267	-2.0%	44,396	51,724	16.5%	49,107	55,073	12.2%
Net Profit	36,535	36,068	-1.3%	42,513	50,050	17.7%	47,035	53,069	12.8%
EPS (RMB)	4.01	3.96	-1.3%	4.66	5.49	17.7%	5.16	5.82	12.8%
Key ratios (%)									
Total vehicle volume sales (YoY)	7.6%	2.1%		9.0%	13.9%		6.5%	6.6%	
Revenue growth	8.3%	5.2%		9.2%	15.2%		7.0%	9.5%	
EPS growth	12.0%	10.6%		16.4%	38.8%		10.6%	6.0%	
Gross margin	18.0%	17.8%		18.3%	18.9%		18.4%	18.8%	
Operating margin	3.5%	3.5%		3.9%	4.7%		4.0%	4.5%	
Net margin	4.4%	4.4%		4.7%	5.3%		4.8%	5.2%	

Source: BofA Global Research estimates

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Valuation

We raise our PO for BYD-H/BYD-ADR to HKD123 (from HKD119)/USD16 (from USD15) to reflect our updated estimates.

Valuation - BYD-H/BYD-ADR

We derive our PO from a sum-of-the-parts valuation. EV sales: we apply 1.3x P/S (unchanged) to BYD's average 2026-27E sales (roll over from 2026E sales). Our target multiple of 1.3x P/S is BYD's historical average of one-year forward P/S since IPO and is slightly higher than peers, given 1) BYD's industry leadership in EV battery/ powertrain, and 2) it is a leading global EV brand. External EV & ESS battery sales: we apply 1.3x P/S (unchanged) to its average 2026-27E EV & ESS sales (roll over from 2026E sales). Our target multiple, 1.3x P/S, is BYD's historical average one-year forward EV/sales since IPO, given 1) BYD's industry leadership in the EV battery segment, and 2) improved LFP blade battery and enhanced charging speed. BYDE: we apply 16x (from 20x) P/E to BYDE's average 2026-27E EPS (roll over from 2026E EPS), in line with peers' average.

Exhibit 6: BYD's SOTP valuation summary

Our PO is HKD123 for BYD-H and USD16 for BYD-ADR

	PAT or Sales (RMBmn)	Estimated value based on PAT/sales	Asset value	% to Enterprise Value	Remarks
EV business (avg. 2026-27E sales)	602,541	783,303	783,303	80.1%	1.3 x P/S
External EV and ESS battery sales (avg. 2026-27E sales)	115,965	150,754	150,754	15.4%	1.3 x P/S
Consumer electronic (mainly BYDE, avg. 2026-27E EPS)			44,139	4.5%	16 x P/E
Fair value total			978,197		
Share count (mn)			9,117		
BofA Price Objective (HKD): BYD-H			123		
BofA Price Objective (USD): BYD-ADR			16		

Source: BofA Global Research estimates

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BAIC

1H26 preliminary net loss of RMB1.55-1.65bn; BAIC Benz 1H26 volume miss

BAIC reported 1H26 preliminary net loss of RMB1.55-1.65bn, compared with net profit of RMB360mn in 1H25, mainly due to 1) weak sales amid stiff competition in the domestic automotive industry; 2) rising raw material costs. In 1H26, BAIC Benz/BAIC Hyundai booked sales volume of 166k/90k units, down 31%/5% YoY. The sales performance of BAIC Benz was behind our previous expectation, mainly due to fierce competition from domestic EV brands. BAIC Hyundai volume sales were above our previous expectation, thanks to a low base and growing export sales volume.

Earnings estimates revision and valuation

Factoring in 1H26 sales volume and preliminary earnings, we reduce 2026/27/28E revenue by 14%/14%/12%, given lower sales volume estimates. We also lower gross margin estimates to reflect pricing pressure due to material price hike. Net-net, we expect 2026/27/28E net loss to widen by 146%/154%/177% to RMB3.5bn/3.5bn/3.1bn. We derive our PO of HKD0.80 (was HKD1.41), based on 0.11x (was 0.18x) 2026-27E BPS (roll over from 2026E BPS). Our target multiple of 0.11x is based on the latest BAIC's 3-year average P/B ratio. We reiterate Underperform on BAIC, as we believe JV brands will continue to face margin pressure in the long term, and BAIC's own brand may not turn profitable in the next 2 years.

Exhibit 7: BAIC's new vs. old estimates

We expect 2026/27/28E net loss to widen by 146%/154%/177% to RMB3.5bn/3.5bn/3.1bn

(RMB mn)	2026F			2027F			2028F		
	Old	New	dif. (%)	Old	New	dif. (%)	Old	New	dif. (%)
Total volume sales	825,877	761,827	-7.8%	751,744	710,988	-5.4%	683,251	671,643	-1.7%
Volume sales - Beijing Benz	452,879	380,273	-16.0%	410,308	345,370	-15.8%	370,783	321,531	-13.3%
Volume sales - Beijing Hyundai	172,646	193,244	11.9%	156,033	193,432	24.0%	141,048	192,114	36.2%
Volume sales- Beijing own brand	181,851	177,810	-2.2%	167,303	163,585	-2.2%	153,919	150,499	-2.2%
Volume sales- Fujian Benz	18,500	10,500	-43.2%	18,100	8,600	-52.5%	17,500	7,500	-57.1%
Revenue	165,174	142,125	-14.0%	153,352	132,130	-13.8%	142,083	125,444	-11.7%
Gross Profit	17,100	9,860	-42.3%	16,848	9,529	-43.4%	15,878	9,602	-39.5%
Operating Profit (loss)	3,556	-1,794	-150.4%	3,506	-1,967	-156.1%	3,516	-1,312	-137.3%
Investment income (loss)	-400	-541	35.3%	-340	-623	83.0%	-289	-685	136.9%
Net profit (loss)	2,085	-1,223	-158.7%	2,134	-1,380	-164.7%	2,159	-1,049	-148.6%
Net Profit (loss) attribute to shareholder	-1,436	-3,533	146.0%	-1,393	-3,542	154.2%	-1,126	-3,122	177.4%
EPS	-0.18	-0.44	146.0%	-0.17	-0.44	154.2%	-0.14	-0.39	177.4%
Key ratios (%)									
Total volume sales	-4.8%	-12.2%		-9.0%	-6.7%		-9.1%	-5.5%	
Sales growth	0.7%	-13.4%		-7.2%	-7.0%		-7.3%	-5.1%	
EPS growth	-1270.5%	-2979.3%		-3.0%	0.3%		-19.2%	-11.8%	
Gross margin	10.4%	6.9%		11.0%	7.2%		11.2%	7.7%	
Operating margin	2.2%	-1.3%		2.3%	-1.5%		2.5%	-1.0%	
Net margin	1.3%	-0.9%		1.4%	-1.0%		1.5%	-0.8%	
OPEX to sales	8.2%	8.2%		8.7%	8.7%		8.7%	8.7%	

Source: BofA Global Research estimates

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Chery

2Q26: overseas strong; domestic destocking

In 2Q26, Chery Auto reported sales volume at 709k units (+19% YoY/+25% QoQ). Chery's 1H26 volume sales came in at 1.28mn units, up 8% YoY, accounting for 43% of its 2026 volume sale target of 3mn units, supported by strong overseas sales but dragged by weak domestic sales. Chery's domestic wholesale volume declined to 360k units in 1H26, reflecting softer industry demand and accelerated decline of ICEV sales. Chery's 1H26 domestic retail sales exceeded 400k units – Chery continued to reduce channel inventory by roughly 10-20k units per month from February to June, with destocking expected to continue through July-August.

2Q26 net profit per vehicle likely to be flat QoQ

Chery's net profit per vehicle in 2Q26 is likely to remain flat vs. 1Q26, as favorable mix and overseas growth were largely offset by higher raw-material and component costs, which increased by nearly RMB1,500-2,000 per vehicle in 2Q26 vs. 2025. FX losses also narrowed significantly from around RMB1.2bn in 1Q26 to RMB300-500mn in 2Q26.

Earnings revisions

Factoring in 2Q26 volume sales, we lift 2026/27E volume sales by 3%/4%. Meanwhile, we lower ASP in 2026/27E to reflect latest model pipelines. We raise 2026/27E gross margin by 0.2ppt/0.2ppt to reflect economies of scale. Net-net, we lower 2026/27E EPS by 1%/4%. We maintain Buy on Chery for its strong volume sales and solid profitability in the overseas market.

Exhibit 8: Chery's new vs. old estimates

We lower EPS by 1%/4% in 2026/27E, respectively

	2026F			2027F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)
Total volume sales (units)	2,909,960	2,992,230	2.8%	3,092,225	3,208,257	3.8%
Chery	1,897,868	2,084,842	9.9%	1,945,801	2,154,377	10.7%
Jetour	629,482	611,498	-2.9%	642,096	607,582	-5.4%
Exeed	114,962	81,609	-29.0%	116,507	82,877	-28.9%
iCar	113,930	114,035	0.1%	131,751	164,325	24.7%
Luxeed	153,718	100,247	-34.8%	256,070	199,096	-22.2%
Revenue	346,860	335,390	-3.3%	393,678	384,456	-2.3%
Passenger vehicles	311,475	300,005	-3.7%	348,422	339,199	-2.6%
Auto components	26,070	26,070	0.0%	31,284	31,284	0.0%
Others	9,315	9,315	0.0%	13,973	13,973	0.0%
Gross Profit	52,651	51,551	-2.1%	60,206	59,750	-0.8%
Operating Profit	19,699	19,689	0.0%	23,200	23,227	0.1%
Pretax income	24,321	24,173	-0.6%	29,649	28,384	-4.3%
Net Income before minority	19,457	19,339	-0.6%	23,719	22,707	-4.3%
Net Income attribute to shareholder	18,957	18,839	-0.6%	23,219	22,207	-4.4%
Adjusted net income	18,142	18,024	-0.7%	23,219	22,207	-4.4%
EPS	3.26	3.24	-0.6%	4.00	3.82	-4.4%
Key ratios (%)						
Volume sales growth	10.5%	12.6%		6.3%	7.2%	
Revenue growth	15.5%	11.7%		13.5%	14.6%	
EPS growth	4.9%	4.3%		22.5%	17.9%	
Gross margin	15.2%	15.4%		15.3%	15.5%	
Operating margin	5.7%	5.9%		5.9%	6.0%	
Net margin	5.5%	5.6%		5.9%	5.8%	
Adjusted net margin	5.2%	5.4%		5.9%	5.8%	

Source: BofA Global Research estimates

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Valuation

We derive our PO of HKD34 (was HKD38), based on the average of DCF valuation and P/E valuation methods.

DCF methodology: We derive a fair value of HKD36.7 (was HKD44.3) from our DCF calculation, with assumptions of 1% FCF perpetuity growth and WACC of 14.4% (was 14.6%, due to a change in capital structure). DCF-based value is lowered to reflect a lower FCF.

P/E methodology: We derive our P/E-based valuation of HKD31.1 (was HKD32.3) by applying a target P/E of 8x (was 9x) to Chery's average 2026-2027E EPS (roll over from 2026E). Chery Auto was listed in late-Sept'2025, thus its trading period is still short. We apply a target multiple of 8x, which is the average P/E of H-share auto OEM peers.

Exhibit 9: Chery's valuation

Our PO for Chery is HKD38

Valuation methodology	Implied value (HKD)	Upside/downside Potential	Parameters
Methodology 1			
DCF	36.7		WACC of 14.4%, 1% perpetual growth
Methodology 2			
P/E	31.1		8 x
PO (rounded)	34.0	39%	

Source: BofA Global Research estimates

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GAC

2Q26 prelim: results missed amid weak sales, material price hike, FX loss

GAC reported its 1H26 preliminary results: 1H26 net loss attributable to shareholders came in at RMB4.1-4.6bn, worse than our previous estimate. Excluding one-off items, the core net loss in 1H26 was RMB4.8-5.6bn. The implied 2Q26 net loss was RMB3.4bn-3.9bn vs. net loss of RMB1.8bn in 2Q25. Management attributed the weak results in 1H26 to 1) increasing marketing expenses amid intense market competition, 2) lower own brand profit due to material price hike and product mix change, 3) deteriorated share of profit from JV given lower sales volume and higher cost, and 4) FX loss.

Group sales volume up 2% in 1H26; Honda under pressure while own brand solid

GAC Group posted a sales volume of 773k units, up 2% YoY in 1H26, largely in line with our previous estimates. By brand, GAC Toyota / GAC Honda sales were up 3%/down 56% YoY. For self-owned brands: GAC Trumpchi's / Aion's sales were up 12%/67% YoY, respectively, in 1H26.

Earnings estimates revision

Factoring in 1H26 sales volume and preliminary earnings, we lower 2026/27/28E sales volume by 4%/6%/8%. We mainly cut sales volume forecast for GAC Honda. We also cut 2026/27/28 investment income estimates by 4%/3%/3%, due to intense competition in auto market. Net-net, we expect GAC net loss to widen by 475%/217%/257% to RMB10.1bn/RMB7.5bn/RMB7.5bn in 2026/27/28E. We reiterate Underperform on GAC-H as we expect stiff competition to weigh on GAC own-brand's margin and, as such, lead to thin profitability in 2026/27.

Exhibit 10: GAC's new vs. old estimates

We cut our 2026/27/28E sales volume by 4%/6%/8%

	2026F			2027F			2028F		
(RMB mn)	Old	New	dif. (%)	Old	New	dif. (%)	Old	New	dif. (%)
Group volume sales (units)	1,831,394	1,750,827	-4.4%	1,913,966	1,800,480	-5.9%	2,031,968	1,872,616	-7.8%
GAC Toyota	756,452	785,839	3.9%	746,558	787,565	5.5%	746,450	791,419	6.0%
GAC Honda	216,354	154,489	-28.6%	217,492	149,905	-31.1%	219,725	147,184	-33.0%
GAC Trumpchi	353,472	393,031	11.2%	363,582	403,336	10.9%	406,380	441,597	8.7%
GAC Aion	351,631	394,983	12.3%	377,228	430,817	14.2%	410,925	478,881	16.5%
Revenue	119,475	113,984	-4.6%	127,065	116,865	-8.0%	136,636	121,275	-11.2%
Gross Profit	4,491	-1,736	-138.7%	4,507	-577	-112.8%	4,800	-609	-112.7%
Operating Profit	-8,054	-13,704	70.2%	-8,200	-12,030	46.7%	-8,864	-12,373	39.6%
Investment income (Profit/loss of Associate & JVs)	5,127	4,950	-3.5%	5,196	5,069	-2.5%	5,386	5,230	-2.9%
Pre-tax income	-1,672	-9,605	474.5%	-2,225	-7,061	217.4%	-1,983	-7,081	257.2%
Net Profit before attribute to shareholder	-1,739	-9,989	474.5%	-2,314	-7,343	217.4%	-2,062	-7,365	257.2%
Net Profit	-1,765	-10,139	474.5%	-2,348	-7,453	217.4%	-2,093	-7,475	257.2%
EPS	-0.17	-0.99	474.5%	-0.23	-0.73	217.4%	-0.21	-0.73	257.2%
Key ratios (%)									
Sales growth	23.8%	18.1%		6.4%	2.5%		7.5%	3.8%	
Volume growth	6.4%	1.7%		4.5%	2.8%		6.2%	4.0%	
EPS growth	-79.9%	15.4%		33.1%	-26.5%		-10.9%	0.3%	
Gross margin	3.8%	-1.5%		3.5%	-0.5%		3.5%	-0.5%	
Operating margin	-6.7%	-12.0%		-6.5%	-10.3%		-6.5%	-10.2%	
Net margin	-1.5%	-8.9%		-1.8%	-6.4%		-1.5%	-6.2%	
OPEX to sales	10.5%	10.5%		10.0%	9.8%		10.0%	9.7%	

Source: Company report, BofA Global Research estimates

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Valuation - GAC-H

We used to derive PO from average of P/E and DCF valuation. However, we expect poor sales growth and profitability outlooks for GAC as well as uncertainty about its free cash flow. As such, we think DCF-based valuation method is no longer suitable and change our valuation method to P/B-based to reflect GAC's fair value better. We derive a fair value of HKD2.3 (from HKD3.2), based on 0.2x P/B (previously 0.25x) to 2026-27E BVPS (rolled over from 2026E BVPS) for GAC. Our target PBR of 0.2x is based on the stock's latest historical 3-year average one-year forward PBR. We use historical 3-year average PBR to value GAC's latest net asset value, after GAC started to make losses when its Trumpchi and Aion started to make losses, and its JV brands (Toyota, Honda) lost market share.

Geely

1H26 sales volume in line, domestic destocking; overseas beat expectation

Geely's 1H26 sales were up 1% YoY at 1.42mn units, accounting for 41% of our previous 2026 forecasts and slightly below our previous expectations. The Geely brand sales volume came in at 1.10mn units, down 5.5% YoY, among which Galaxy sales volume read 520k units, down 5% YoY. Geely's monthly sales remained relatively stable at 235k/238k/240k units in Apr/May/Jun. Geely recently reduced dealer inventory by 50k+ units to ease dealer pressure. In contrast, overseas performance exceeded expectations - management raised its 2026 export target to 750k units in April, while its 1H26 overseas sales reached 470k units. Export momentum is expected to remain strong, with shipments potentially exceeding 100k units per month in July-August. Management highlighted that supply chain capacity and shipping availability, rather than demand, are currently the key bottlenecks, and resources prioritized toward overseas markets.

New products in 2H26 to support full-year sales volume target

In 2H26, Geely will launch several new models, including (1) Galaxy: TT (C-class BEV), Zhanjian 700 (off-road SUV), a small-sized BEV models; (2) Lynk & Co: Lynk 07 GT, a new SUV, (3) Zeekr: 9X five-seater variant and Grand Edition. The company is also introducing key technology upgrades, including its first 800V platform, a new e-drive system, and broader deployment of LiDAR-equipped intelligent driving features.

Net profit per vehicle improves sequentially in 2Q26

We expect Geely's net profit per vehicle in 2Q26 to improve sequentially from 1Q26, supported by both volume growth and a higher contribution from premium models. The benefit is likely to be partially offset by rising memory costs, which increased the cost burden by several hundred RMB per vehicle in 2Q26, compared with roughly RMB1k per vehicle in 1Q26. Overseas profitability remains attractive at RMB12k-15k per vehicle, while overseas volume rose from c.200k units in 1Q26 to c. 270k units in 2Q26.

Earnings revision

Factoring in 2Q26 sales volume and latest model pipeline, we trim 2026/27/28E revenue by 1%/1%/4%, respectively. We keep 2026/27/28E GPM largely unchanged, a mixed results of better product-mix, raw material price hike, and larger sales scale. Net-net, we trim 2026/27/28E earnings by 0.2%/0.2%/2.7%. We reiterate Buy on Geely, given robust export growth and aggressive OPEX cut.

Exhibit 11: New vs. old estimates

We trim our 2026/27/28E net profit by 0.2%/0.2%/2.7%, respectively

(RMB mn)	2026F			2027F			2028F		
	Old	New	dif. (%)	Old	New	dif. (%)	Old	New	dif. (%)
Consolidated revenue	412,004	408,170	-0.9%	459,809	456,318	-0.8%	517,800	498,030	-3.8%
Total volume sales (units)	3,507,345	3,256,248	-7.2%	3,800,481	3,606,121	-5.1%	4,230,893	3,903,176	-7.7%
Geely volume sales (units)	2,796,531	2,510,799	-10.2%	2,907,536	2,824,373	-2.9%	3,165,577	3,054,368	-3.5%
Lynk volume sales (units)	400,163	346,701	-13.4%	508,728	362,767	-28.7%	644,192	425,913	-33.9%
ZEEKR volume sales (units)	310,651	398,748	28.4%	384,216	418,981	9.0%	421,123	422,894	0.4%
Gross Profit	70,227	69,211	-1.4%	79,490	78,893	-0.8%	88,922	85,561	-3.8%
Net Profit before attribute to shareholder	20,587	20,542	-0.2%	23,392	23,336	-0.2%	25,978	25,283	-2.7%
Net profit	20,704	20,659	-0.2%	23,502	23,447	-0.2%	26,081	25,387	-2.7%
Adjusted net profit	20,704	20,659	-0.2%	23,502	23,447	-0.2%	26,081	25,387	-2.7%
EPS	1.91	1.91	-0.2%	2.17	2.16	-0.2%	2.41	2.34	-2.7%
Key ratios (%)									
Sales growth	19.3%	18.2%		11.6%	11.8%		12.6%	9.1%	
Total volume sales growth (units)	16.0%	7.6%		8.4%	10.7%		11.3%	8.2%	
Adjusted net profit growth	43.7%	43.4%		13.5%	13.5%		11.0%	8.3%	
EPS growth	23.6%	23.3%		13.5%	13.5%		11.0%	8.3%	
Gross margin	17.0%	17.0%		17.3%	17.3%		17.2%	17.2%	
Net margin	5.0%	5.0%		5.1%	5.1%		5.0%	5.1%	
OPEX to sales	12.4%	12.3%		12.3%	12.3%		12.2%	12.2%	

Source: BofA Global Research estimates

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Valuation

We derive our PO of HKD27.3 (was HKD29.3) from an average of P/E and discounted cash flow (DCF) methodologies, the same valuation methodology as its HK-listed peers such as Great Wall Motor, GAC, Seres, Chery, etc.

DCF methodology: A fair value of HKD31.2 (from HKD30.7) is derived from our DCF calculation, with assumptions of 1% FCF perpetuity growth, 1.4 beta and hence 13.2% (was 13.3%, due to change of capital structure) weighted-average cost of capital (WACC).

P/E methodology: We derive our P/E-based valuation of HKD23.4 (from HKD28) by applying a target P/E of 10x (from 13x) to Geely's 2026-27E average EPS (roll over from 2026E EPS). Our target P/E of 10x is on par with its past 3-year historical average P/E. We view this multiple appropriate, as we forecast 11% adjusted EPS CAGR 2026-28E (implying 0.9x PEG ratio).

Exhibit 12: Geely's valuation methodology

We derive the PO at HKD27.3

Valuation methodology	Implied value (HKD)	Upside/downside Potential	Parameters
Methodology 1			
DCF	31.2		WACC of 13.2%
Methodology 2			
P/E multiple	23.4		10x
Price Objective (rounded)	27.3	34%	

Source: BofA Global Research estimates, company report

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Great Wall Motor

2Q26 preliminary earnings miss due to a delay in scrappage tax refund

Great Wall Motor (GWM) announced 1H26/2Q26 preliminary results: 1H26 preliminary net income was down 59-62% YoY at RMB2.35-2.60bn; 1H26 preliminary net income, excluding one-off items, was RMB1.50-1.75bn, down 51-58% YoY. The implied 2Q26 net income was down 64-69% YoY/up 49-75% QoQ at RMB1.41-1.66bn. 2Q26 preliminary net income, excluding one-off items, was RMB1.02-1.27n, down 40-52% YoY/up 111-163% QoQ, mainly dragged by deferred recovery of income from Russia tax policy subsidies and FX loss. Management guided RMB3-4bn scrappage tax refund from Russia for 2026. We maintain Neutral on GWM-H, as we believe its strong model pipeline and moderate earnings growth are fairly valued.

Destocking inventory to prepare for new models in 2H26

Management attributed the weak 1H26 domestic demand to policy changes and pull-forward demand impact. It remains optimistic on auto sales demand in 2026 and expects to see auto demand recovery in Sep amid traditional peak season and new model launches. GWM expects the new product cycle, supported by its multi-powertrain strategy and global platform, to drive both domestic sales recovery and overseas sales expansion. Currently, its domestic inventory stands at around 1.5 months, while overseas inventory, including in-transit vehicles, is at c.3.0 months. GWM continues to de-stock inventory in the domestic market to prepare for new model launches in 2H26.

Exports by brand: Haval leads, Ora grows rapidly

Breakdown by brand, Haval contributes 60-70% of overseas sales on solid contribution from Chulian and H6, and it plans to launch Menglong and Xiaolong in the overseas market in 2H26; Tank's export sales remained stable at 5-6k units per month, mainly supported by Tank 300 and 500, and management targets Tank brand to post 70-100k units' export sales in 2026; ORA posted solid export sales of 7k units in June, driven by solid Ora 5 demand in Thailand and Brazil, and it continues to expand into the EU and Southeast Asia. Management expects Ora 5 global monthly sales to exceed 10k units in July, and 15-20k units by end-2026; pickup trucks' monthly export sales remained stable at 6-7k units; WEY's export sales were only hundreds of units, and management expects the launch of V9X to act as a catalyst for premium globalization.

Monthly export sales likely to reach 70k units in 4Q26

Overseas sales exceeded 60k units for the first time in June, mainly driven by solid sales in Brazil, Southeast Asia, the Middle East, Europe, and Russia. Management expects export sales to continue to improve MoM from June to Nov, and targets monthly export sales to reach 70k units in 4Q26, supported by sales channel expansion and new product launches. GWM's Brazil plant Phase I with 50k units' annual capacity is running at full utilization, and GWM expects nearly 100k units' overseas sales in Brazil in 2026.

Earnings estimates revision

We factor in 1H26 sales volume and demand outlook, and reduce 2026/27/28E revenue by 9%/10%/10%, given lower sales volume estimates. We slightly lower gross margin estimates to reflect pricing pressure. Net-net, we cut 2026/27/28E EPS by 25%/22%/23%.



Exhibit 13: Great Wall Motor's new vs. old estimates

We lower our earnings estimates by 25%/22%/23% in 2026/27/28E

	2026F			2027F			2028F		
(RMB mn)	Old	New	dif. (%)	Old	New	dif. (%)	Old	New	dif. (%)
Consolidated sales	269,668	245,143	-9.1%	301,580	272,406	-9.7%	326,574	293,127	-10.2%
Vehicle volume sales	1,505,259	1,351,784	-10.2%	1,657,236	1,478,241	-10.8%	1,759,936	1,558,755	-11.4%
Haval volume sales (unit)	795,515	707,447	-11.1%	834,959	729,415	-12.6%	877,663	758,794	-13.5%
WEY volume sales (unit)	185,962	178,962	-3.8%	253,551	252,112	-0.6%	284,608	286,874	0.8%
Tank volume sales (unit)	241,925	197,451	-18.4%	251,844	197,686	-21.5%	261,981	197,295	-24.7%
Ora volume sales (unit)	93,788	82,795	-11.7%	125,353	110,443	-11.9%	142,103	125,127	-11.9%
Pick-up volume sales (unit)	187,548	184,040	-1.9%	190,983	187,439	-1.9%	193,006	189,462	-1.8%
Gross Profit	50,405	44,910	-10.9%	56,568	49,842	-11.9%	61,543	53,901	-12.4%
Operating Profit	9,806	7,758	-20.9%	11,406	9,430	-17.3%	13,194	10,708	-18.8%
Net Profit before attribute to shareholder	12,021	9,010	-25.0%	13,518	10,563	-21.9%	15,572	12,010	-22.9%
Net profit	12,021	9,010	-25.0%	13,518	10,563	-21.9%	15,572	12,010	-22.9%
EPS	1.40	1.05	-25.0%	1.58	1.23	-21.9%	1.82	1.40	-22.9%
Key ratios (%)									
Vehicle volume sales growth	13.7%	2.1%		10.1%	9.4%		6.2%	5.4%	
Sales growth	21.0%	10.0%		11.8%	11.1%		8.3%	7.6%	
EPS growth	21.8%	-8.7%		12.5%	17.2%		15.2%	13.7%	
Gross margin	18.7%	18.3%		18.8%	18.3%		18.8%	18.4%	
Net margin	4.5%	3.7%		4.5%	3.9%		4.8%	4.1%	
OPEX to sales	15.1%	15.2%		15.0%	14.8%		14.8%	14.7%	

Source: BofA Global Research estimates, company report

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Valuation – GWM-H

Our new PO of HKD10.8 (was HKD14.3) for GWM-H is derived from an average of P/E and discounted cash flow (DCF) methodologies.

Exhibit 14: Great Wall Motor's valuation summary

Our new PO is HKD10.8 for GWM-H

Valuation methodology	Implied value (HKD)	Upside/downside Potential	Parameters
Methodology 1			
DCF	11.4		WACC of 10.7%
Methodology 2			
P/E multiple	10.2		8x
Price Objective (rounded)	10.8	17%	

Source: BofA Global Research estimates

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DCF methodology: A fair value of HKD11.4 (was HKD16.2) is derived from our DCF calculation, with assumptions of 1% FCF perpetuity growth and 10.7% (was 11%, based on the latest capital structure) weighted-average cost of capital (WACC). The value is lower since we cut our 2026-28E EPS and FCF.

P/E methodology: We derive our P/E-based valuation of HKD10.2 (was HKD12.5) by applying a target P/E of 8x (unchanged) to GWM-H's 2026-27E EPS (rolled over from 2026E). Our target multiple of 8x is GWM-H's past-3-year historical average.

Leapmotor

2Q26 sales in line, strong product cycle supports accelerating sales growth

Leapmotor delivered 356k vehicles in 1H26, achieving 35.6% of its full-year sales target of 1mn units, with 2Q26 deliveries at 246k units, up 84% YoY and up from 110k units in 1Q26. Its 2Q26 sales accounted for 100% of our estimate. Leapmotor's A10 (launched in March) became the new growth driver in 2Q26, and its delivery ramped from 4k in March to 26k units in June. Meanwhile, D19 launched in April'26 strengthened the brand's premium positioning, while facelifted C-series has continued to post solid sales volume. It began deliveries of D99 MPV and launched a new generation of B01/B10 in July to further stimulate volume growth in 2H26.

Overseas sales tracking ahead of target; Europe localization progressing

Leapmotor posted export sales of 96k units in 1H26, and management expects monthly export sales of 13-14k units in 2H26, well on track to exceed its 2026 overseas sales target 150-200k units. Leapmotor will start production of B10 at Stellantis' Zaragoza plant in Spain, and Leapmotor International plans to acquire Madrid factory in the future to establish localized manufacturing capacity starting in 2028. Management also guided revenue from sales of carbon credit in EU at RMB1.9-2.0bn in 2026.

Scale benefits outweigh cost inflation, underpinning margin expansion

Leapmotor guided 2026-blended GPM of 13%-14%, and 11%-12% vehicle GPM, while the D-series targets GPM of 15-20%. Despite vehicle costs increasing by RMB2-3k per car due to raw material price hikes in June, the strong volume ramp-up in 2Q26 is able to offset cost pressures on improved operating leverage. In the long term, it plans to continue cutting costs through high component commonality (>90%) across A/B/C/D platforms, centralized procurement, long-term pricing agreements, etc.

Earnings revision

We factor in 2Q26 volume sales and the upcoming new model plans and raise our 2026/27/28E sales volume by 3%/5%/5%. Accordingly, we revise up 2026/27/28E revenue by 3%/5%/5%, and we largely maintain our GPM forecasts unchanged. Net-net, we lift 2026/27/28E net income by 2%/3%/3%. We reiterate our Buy rating as we expect sequential sales volume improvement in 2026, supported by more new models launches and Stellantis cooperation.

Exhibit 15: New vs old estimates

We raise our 2026/27/28E sales volume by 3%/5%/5%

RMB mn	2026F			2027F			2028F		
	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Volume (units)	908,618	934,055	2.8%	1,011,976	1,058,388	4.6%	1,029,581	1,079,676	4.9%
Consolidated sales	95,327	97,945	2.7%	109,606	114,487	4.5%	116,055	121,575	4.8%
Gross profit	12,181	12,511	2.7%	14,877	15,546	4.5%	16,661	17,461	4.8%
Operating profit (loss)	917	937	2.2%	2,407	2,481	3.1%	4,174	4,326	3.6%
Profit (loss) before income taxes	1,172	1,193	1.8%	2,747	2,821	2.7%	4,495	4,646	3.4%
Net profit	1,172	1,193	1.8%	2,747	2,821	2.7%	4,495	4,646	3.4%
Net profit attributable to ordinary shareholders (IFRS)	1,172	1,193	1.8%	2,747	2,821	2.7%	4,495	4,646	3.4%
Share-based payment expenses	500	500	0.0%	500	515	3.0%	500	535	7.0%
Net profit per share attributable to ordinary shareholders	0.82	0.84	1.8%	1.93	1.98	2.7%	3.16	3.27	3.4%
ASP per car (RMB, K)	101	101	0.1%	104	104	0.1%	108	108	0.1%
Key ratios (%)									
Sales growth	47.3%	51.3%		15.0%	16.9%		5.9%	6.2%	
EPS growth	117.7%	121.5%		134.4%	136.5%		63.6%	64.7%	
Gross margin	12.8%	12.8%		13.6%	13.6%		14.4%	14.4%	
Operating margin	1.0%	1.0%		2.2%	2.2%		3.6%	3.6%	
Net margin	1.2%	1.2%		2.5%	2.5%		3.9%	3.8%	
OPEX to sales	11.8%	11.8%		11.4%	11.4%		10.8%	10.8%	

Source: BofA Global Research estimates

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Exhibit 16: Leapmotor's P&L summary

We expect Leapmotor's gross margin to improve sequentially in 2H26

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Sales volume	87,552	134,112	173,852	201,039	596,555	110,155	246,332	280,581	296,987	934,055
Revenue	10,020	14,230	19,450	21,032	64,732	10,820	25,621	29,681	31,823	97,945
Total cost of goods sold	8,530	12,294	16,630	17,866	55,320	9,800	22,444	25,823	27,368	85,434
Gross profit (loss)	1,490	1,936	2,820	3,166	9,412	1,020	3,177	3,859	4,455	12,511
SG&A	990	1,205	1,580	1,820	5,595	1,120	1,640	1,840	2,100	6,700
R&D	800	1,094	1,210	1,188	4,292	1,040	1,409	1,632	1,687	5,768
Operating expenses	1,790	2,299	2,790	3,008	9,888	2,160	3,049	3,473	3,787	12,469
Operating profit (loss)	-300	-364	30	158	-476	-1,140	128	386	668	42
Profit (loss) before income taxes	-130	163	150	355	538	-390	273	496	813	1,193
Net profit (loss)	-130	163	150	355	538	-390	273	496	813	1,193
Net profit (loss) attributable to ordinary shareholders	-130	163	150	355	538	-390	273	496	813	1,193
Fully diluted shares (mn)	1,422	1,422	1,422	1,422	1,422	1,422	1,422	1,422	1,422	1,422
Operating Ratios										
Gross margins	14.9%	13.6%	14.5%	15.1%	14.5%	9.4%	12.4%	13.0%	14.0%	12.8%
SG&A/sales	9.9%	8.5%	8.1%	8.7%	8.6%	10.4%	6.4%	6.2%	6.6%	6.8%
R&D/sales	8.0%	7.7%	6.2%	5.6%	6.6%	9.6%	5.5%	5.5%	5.3%	5.9%
Operating margin	-3.0%	-2.6%	0.2%	0.8%	-0.7%	-10.5%	0.5%	1.3%	2.1%	0.0%
Pre-tax margin	-1.3%	1.1%	0.8%	1.7%	0.8%	-3.6%	1.1%	1.7%	2.6%	1.2%
Tax rate	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Net margin	-1.3%	1.1%	0.8%	1.7%	0.8%	-3.6%	1.1%	1.7%	2.6%	1.2%

Source: BofA Global Research estimates, company data

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Valuation

We derive our PO of HKD60 (was HKD65) per share using an average of EV/sales valuation and DCF valuation method, the same as we apply to other EV start-up peers.

DCF valuation: We derive a fair value of HKD60 (was HKD56.7) from our DCF calculation, with assumptions of 2% FCF perpetuity growth and discount rate (WACC) at 13.8% (was 14%, due to change of capital structure), and higher FCF.

EV/sales valuation: We derive a fair value of HKD60.3 (was HKD73.3), based on 0.5x target EV/sales (from 0.8x) over 2H26 & 1H27 sales (roll over from 2026E sales) for Leapmotor. Our lowered target multiple is justified by the intensified competition in the China market amid sluggish domestic sales. The target multiple of 0.5x is 1SD below the historical average one-year forward EV/sales since the IPO, and slightly below the target multiple of other EV companies, as Leap's ASP and GPM are lower.

Exhibit 17: Leapmotor's valuation summary

Our new PO is HKD60

Valuation methodology	Implied value	Upside/downside Potential	Parameters
Methodology 1			
EV/Sales (HKD)	60.3		0.5x 2H26&1H27E EV/sales
Methodology 2			
DCF (HKD)	60.0		WACC of 13.8%
Price Objective (rounded) (HKD)	60.0	51.7%	

Source: BofA Global Research estimates

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Li Auto

2Q26 sales in line with guidance

In 2Q26, Li Auto's sales volume was down 11% YoY at 98k units, accounting for 91% of our previous estimate, and in line with its guidance of 95-100k units. YT-June, sales volume came in at 193k units, down 5% YoY, accounting for 42% of our 2026 sales volume forecasts.

Accelerated product refresh cycle; new model i9 launch likely in 2H26

Li Auto accelerated its product refresh cycle in 2026, with the launch of the all-new L9 on 15 May, the all-new L8 on 23 June, and the new L6 on 16 July. The refreshed models feature major upgrades in intelligent driving (self-developed Mach M100 chip), chassis technology, smart-cockpit functions and range-extension systems. The new L9 further strengthens Li Auto's flagship positioning, while the all-new L8 has been repositioned as a premium five-seat SUV and the new L6 continues to target the high-volume family SUV segment. On 15 July, Li Auto introduced the new Li L9 to Kazakhstan and started localized production. Li Auto is expected to launch a new BEV model i9 in 2H26.

Earnings revision

We cut 2026/27/28E volume sales by 9%/5%/6% to factor in its 2Q26 sale volume and our latest assumptions, and lower 2026/27/28E GPM by 1.3ppt/2.5ppt/1.7ppt. We also raise its opex-to-sales ratio by 1.2ppt/0.1ppt/0.2ppt in 2026/27/28E. Net-net, we widen 2026E non-GAAP loss by 90%, change 2027E non-GAAP earnings forecast from RMB2.4bn net profit to RMB1.2bn net loss, and lower 2028E non-GAAP net profit by 72%. We reiterate Neutral rating on Li Auto. We see sales volume growth and margin pressure in 2026, given intense market competition in China.

Exhibit 18: New vs. old estimates

We widen 2026E non-GAAP loss by 90%, change 2027E non-GAAP earnings forecast from RMB2.4bn net profit to RMB1.2bn net loss, and lower 2028E non-GAAP net profit by 72%

RMB mn	2026F			2027F			2028F		
	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Volume (units)	464,353	421,895	-9.1%	509,654	485,968	-4.6%	557,150	524,353	-5.9%
Consolidated sales	113,958	103,981	-8.8%	127,056	121,470	-4.4%	140,596	132,783	-5.6%
Gross Profit	14,684	12,085	-17.7%	21,490	17,494	-18.6%	24,413	20,864	-14.5%
Income/(Loss) from operation	-6,313	-8,293	31.4%	-327	-3,572	990.9%	1,949	-702	-136.0%
Non-GAAP income/(loss) from operations	-5,095	-7,615	49.5%	1,073	-2,892	-369.7%	2,299	-22	-100.9%
Income/(Loss) before Income tax expense	-4,501	-6,711	49.1%	1,163	-2,217	-290.7%	3,154	548	-82.6%
Net income/(loss)	-3,919	-5,831	48.8%	1,018	-1,885	-285.1%	2,721	489	-82.0%
Net income/(loss) attributable to ordinary shareholders	-3,933	-5,844	48.6%	1,018	-1,885	-285.1%	2,721	489	-82.0%
Non-GAAP net income/(loss) attributable to ordinary shareholders	-2,715	-5,166	90.3%	2,418	-1,205	-149.8%	4,121	1,169	-71.6%
GAAP earnings/(Loss) per ADS (RMB)	-3.66	-5.44	48.6%	0.95	-1.76	-285.1%	2.53	0.46	-82.0%
GAAP earnings/(Loss) per ADS (USD)	-0.52	-0.78	48.6%	0.14	-0.25	-285.1%	0.36	0.07	-82.0%
ASP per car (RMB, K)	232	232	-0.1%	236	236	0.0%	239	239	0.0%
Key ratios (%)									
Sales growth	1.5%	-7.4%		11.5%	16.8%		10.7%	9.3%	
Gross margin	12.9%	11.6%		16.9%	14.4%		17.4%	15.7%	
Operating margin	-5.5%	-8.0%		-0.3%	-2.9%		1.4%	-0.5%	
Net margin	-3.4%	-5.6%		0.8%	-1.6%		1.9%	0.4%	
OPEX to sales	18.4%	19.6%		17.2%	17.3%		16.0%	16.2%	

Source: BofA Global Research estimates

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Exhibit 19: Li Auto's P&L summary (quarterly)

We expect Li Auto to turn loss-making in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Sales volume	92,864	111,074	93,211	109,194	406,343	95,142	98,330	102,800	125,623	421,895
Revenue	25,927	30,246	27,365	28,775	112,313	22,983	23,447	26,137	31,415	103,981
Total cost of goods sold	20,608	24,179	22,896	23,645	91,327	21,175	20,855	22,885	26,980	91,896
Gross profit	5,318	6,067	4,469	5,131	20,985	1,808	2,591	3,252	4,434	12,085
SG&A	2,531	2,718	2,769	2,647	10,665	2,049	2,345	2,222	2,262	8,877
R&D	2,514	2,810	2,974	3,017	11,315	2,722	2,790	2,875	3,079	11,466
Other operating expense (income)	2	-288	-97	-90	-474	35	0	0	0	35
Operating expenses	5,047	5,240	5,646	5,573	21,506	4,807	5,135	5,097	5,340	20,379
Income/(Loss) from operation	272	827	-1,177	-443	-521	-2,999	-2,543	-1,845	-906	-8,293
Non-GAAP income/(loss) from operations	639	1,198	-913	-188	737	-2,831	-2,373	-1,675	-736	-7,615
Income/(Loss) before Income tax expense	774	1,289	-739	-27	1,297	-2,601	-2,138	-1,450	-521	-6,711
Taxes or tax credit	128	192	-115	-48	158	-325	-289	-196	-70	-880
Net income/(loss)	647	1,097	-624	20	1,139	-2,276	-1,850	-1,254	-451	-5,831
Net income/(loss) attribute to shareholder	650	1,093	-625	7	1,124	-2,290	-1,850	-1,254	-451	-5,844
Non-GAAP net income/(loss) attributable to shareholders	1,018	1,464	-360	261	2,382	-2,121	-1,680	-1,084	-281	-5,166
Earnings/(Loss) per ADS (RMB)	0.61	1.02	-0.58	0.01	1.05	-2.13	-1.72	-1.17	-0.42	-5.44
Fully diluted shares (mn)	1,070	1,070	1,070	1,070	1,070	1,074	1,074	1,074	1,074	1,074
Operating Ratios										
Gross margin	20.5%	20.1%	16.3%	17.8%	18.7%	7.9%	11.1%	12.4%	14.1%	11.6%
SG&A/sales	9.8%	9.0%	10.1%	9.2%	9.5%	8.9%	10.0%	8.5%	7.2%	8.5%
R&D/sales	9.7%	9.3%	10.9%	10.5%	10.1%	11.8%	11.9%	11.0%	9.8%	11.0%
Operating margin	1.0%	2.7%	-4.3%	-1.5%	-0.5%	-13.0%	-10.8%	-7.1%	-2.9%	-8.0%
Pre-tax margin	3.0%	4.3%	-2.7%	-0.1%	1.2%	-11.3%	-9.1%	-5.5%	-1.7%	-6.5%
Tax rate	16.5%	14.9%	15.5%	174.0%	12.2%	12.5%	13.5%	13.5%	13.5%	13.1%
Net margin	2.5%	3.6%	-2.3%	0.1%	1.0%	-9.9%	-7.9%	-4.8%	-1.4%	-5.6%

Source: Company report, BofA Global Research estimates

BofA GLOBAL RESEARCH

Valuation

We derive our PO of USD16.5 per ADS (HKD64.4 per share) using an average of EV/sales valuation and DCF valuation, vs. previously USD18 per ADS (HKD70).

DCF-based fair value: we derive a fair value of USD13.0 (was USD12) from our DCF calculation, with assumptions of 2% FCF perpetuity growth and a discount rate (WACC) of 15.0% (was 14.9%).

EV/sales-based fair value: we derive a fair value of USD20 (was USD24). We apply a target EV/sales multiple of 0.6x (was 0.8x) to 2H26-1H27E sales (roll over from 2026E). Our target multiple of 0.6x is 1SD below historical average one-year forward EV/sales since the IPO, reflecting volume sales and margin pressure amid intensified competition. This is in line with most other EV companies under our coverage.

Exhibit 20: Valuation summary

Our new PO is USD16.5/ADS or HKD64.4

Valuation methodology	Implied value	Upside/downside Potential	Parameters
Methodology 1			
EV/Sales (USD)	20.0		0.6x EV/sales
Methodology 2			
DCF (USD)	13.0		WACC of 15%
Price Objective (rounded) (USD)	16.5	19%	
Price Objective (rounded) (HKD)	64.4	19%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

NIO

2Q26 volume sales in line; impacts on margin due to various factors

NIO's 2Q26 sales volume rose 50% YoY to 108k units, accounting for 96% of our previous 2Q26 estimate, and in line with its guidance of 110-115k units. YT-June sales volume came in at 191k units, up 68% YoY, accounting for 40% of our previous 2026 sales volume forecasts, in line with ours. According to management, in 2Q26, raw material prices hike, including battery, memory chip, and commodities, would lift its production cost by RMB10k per car and adversely affect its vehicle margin by 4ppt. However, better product mix and cost-reduction measures with the supply chain can partially mitigate the risks, and the net-net vehicle margin impact will be 1-2ppt.

ES8 & ES9 seen as key sales contributors in 2H26

In July 2026, NIO launched ES8 5-seater version. Its ES9 received good client feedback, and the production volume continues to ramp up. In 2H26, ES8 & ES9 will be the important sales contributors for the company. In 2027, the company will launch the facelift versions of ET5, ET5T, ES6, EC6, which will have new exterior and interior designs and upgraded configurations. ONVO brand will launch brand new products, which enjoy better cost structure than existing products.

Earnings revisions

Factoring in 2Q26 volume sales and latest model pipelines, we lower 2026/27/28E volume sales by 6%/2%/1%. Meanwhile, we keep 2026/27/28E gross margin largely flat to reflect better product mix, offsetting by higher component costs. Meanwhile, we lower opex-to-sales ratio in 2027/28E by 0.4ppt/1.2ppt. Net-net, we adjust 2026/27/28E net profit (non-GAAP) by -10%/+13%/+44%. We reiterate Neutral, as we expect the positives from volume growth to be partially offset by slower margin expansion and higher opex.

Exhibit 21: NIO's new vs. old estimates

We lower 2026/27/28E volume sales by 6%/2%/1%

	2026F			2027F			2028F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Volume (units)	479,524	451,508	-5.8%	555,486	544,066	-2.1%	588,922	581,475	-1.3%
Consolidated sales	142,735	135,111	-5.3%	164,507	161,015	-2.1%	176,831	171,910	-2.8%
Vehicle	130,512	122,887	-5.8%	149,667	146,175	-2.3%	159,591	154,670	-3.1%
Service and others	12,224	12,224	0.0%	14,839	14,839	0.0%	17,240	17,240	0.0%
Gross Profit	26,650	25,273	-5.2%	30,348	29,633	-2.4%	32,619	31,477	-3.5%
Vehicle	24,188	22,811	-5.7%	27,380	26,665	-2.6%	29,171	28,029	-3.9%
Service and others	2,462	2,462	0.0%	2,968	2,968	0.0%	3,448	3,448	0.0%
Profit (loss) from operations	1,211	1,119	-7.6%	2,619	3,104	18.5%	2,914	4,648	59.5%
Adjusted profit (loss) from operations (non-GAAP)	2,937	2,694	-8.3%	4,219	4,704	11.5%	4,664	6,248	34.0%
Profit (loss) before income tax expense	901	789	-12.5%	1,560	1,985	27.3%	1,655	3,309	100.0%
Net profit (loss)	889	776	-12.6%	1,560	1,985	27.3%	1,655	3,309	100.0%
Net profit (loss) attributable to shareholders	749	637	-15.0%	1,592	2,017	26.7%	1,687	3,341	98.1%
Adjusted net profit (loss) to shareholders (non-GAAP)	2,639	2,377	-9.9%	3,192	3,617	13.3%	3,437	4,941	43.8%
Earnings (Loss) per share (RMB)	0.30	0.26	-15.0%	0.64	0.81	26.7%	0.68	1.35	98.1%
Earnings (Loss) per share (USD)	0.04	0.04	-15.0%	0.09	0.12	26.7%	0.10	0.19	98.1%
ASP per car (RMB, K)	272	272	0.0%	269	269	-0.3%	271	266	-1.8%
Net profit (loss) per car (RMB, K)	6	5	-4.3%	6	7	15.7%	6	8	45.6%
Key ratios (%)									
Sales growth	63.1%	54.4%		15.3%	19.2%		7.5%	6.8%	
Earnings (Loss) per share growth	N.M.	N.M.		112.6%	216.9%		6.0%	65.6%	
Gross margin	18.7%	18.7%		18.4%	18.4%		18.4%	18.3%	
Operating margin	0.8%	0.8%		1.6%	1.9%		1.6%	2.7%	
OPM (non-GAAP)	2.1%	2.0%		2.6%	2.9%		2.6%	3.6%	
Net margin	0.6%	0.6%		0.9%	1.2%		0.9%	1.9%	
NPM (non-GAAP)	1.8%	1.8%		1.9%	2.2%		1.9%	2.9%	
OPEX to sales	17.8%	17.9%		16.9%	16.5%		16.8%	15.6%	

Source: BofA Global Research estimates

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Exhibit 22: NIO's P&L summary (quarterly)

We expect NIO to turn profitable in 2Q26

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Sales volume	42,094	72,056	87,071	124,807	326,028	83,465	107,658	126,428	133,957	451,508
Revenue	12,035	19,009	21,794	34,650	87,488	25,533	32,188	37,405	39,986	135,111
Total cost of goods sold	11,115	17,111	18,769	28,576	75,572	20,674	26,188	30,438	32,538	109,838
Gross profit	920	1,898	3,025	6,074	11,916	4,859	6,000	6,967	7,448	25,273
SG&A	4,401	3,965	4,185	3,537	16,088	3,497	3,702	3,927	4,199	15,325
R&D	3,181	3,007	2,391	2,026	10,605	1,885	2,414	2,618	2,799	9,716
Operating taxes & surcharges	-244	-166	-29	-297	-736	-214	-280	-50	-342	-887
Operating expenses	7,338	6,806	6,546	5,267	25,957	5,168	5,835	6,496	6,655	24,154
Operating income	-6,418	-4,909	-3,522	807	-14,041	-309	165	471	792	1,119
Pretax income	-6,745	-4,952	-3,423	300	-14,821	-320	60	366	683	789
Taxes or tax credit	5	43	57	17	122	12	0	0	0	12
Profit before minority interest	-6,750	-4,995	-3,480	283	-14,943	-332	60	366	683	776
Minority interest	-3	-2	25	-1	18	-1	-8	-8	-8	-25
Net profit (loss) attributable to ordinary shareholders	-6,891	-5,141	-3,661	122	-15,571	-496	68	374	691	637
Adjusted net profit (loss) to shareholders (non-GAAP)	-6,276	-4,125	-2,760	728	-12,432	45	468	774	1,091	2,377
Earnings (Loss) per share (fully-diluted base)	-2.78	-2.07	-1.47	0.05	-6.27	-0.20	0.03	0.15	0.28	0.26
Fully diluted shares (mn)	2,483	2,483	2,483	2,483	2,483	2,481	2,483	2,481	2,483	2,481
Operating Ratios										
Gross margin	7.6%	10.0%	13.9%	17.5%	13.6%	19.0%	18.6%	18.6%	18.6%	18.7%
SG&A/sales	36.6%	20.9%	19.2%	10.2%	18.4%	13.7%	11.5%	10.5%	10.5%	11.3%
R&D/sales	26.4%	15.8%	11.0%	5.8%	12.1%	7.4%	7.5%	7.0%	7.0%	7.2%
Operating margin	-53.3%	-25.8%	-16.2%	2.3%	-16.0%	-1.2%	0.5%	1.3%	2.0%	0.8%
Pre-tax margin	-56.0%	-26.1%	-15.7%	0.9%	-16.9%	-1.3%	0.2%	1.0%	1.7%	0.6%
Net margin	-56.1%	-26.3%	-16.0%	0.8%	-17.1%	-1.3%	0.2%	1.0%	1.7%	0.6%

Source: Company report, BofA Global Research estimates

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Valuation

We derive our PO of USD6 per ADS (HKD47 per share) from USD6.8 (HKD53), using an average of EV/sales valuation and DCF valuation.

DCF-based fair value: We derive a fair value of USD5.1 (was USD5.5), with assumptions of 2% FCF perpetuity growth. For WACC, we use a 4.0% risk-free rate, 12% market return, and beta of 1.5 to calculate and derive the discount rate (WACC) of 13.9% (was 14.1% due to a change in capital structure).

EV/sales-based fair value: We derive a fair value of USD6.8 (was USD8.1). We apply a target EV/sales multiple of 0.6x (was 0.8x) to 2H26-1H27E sales (roll over from 2026E). Our target multiple of 0.6x is 1SD below historical average one-year forward EV/sales since the IPO, reflecting volume sales and margin pressure amid intensified competition. This is in line with most other EV companies.

Exhibit 23: NIO's valuation summary

Our new PO is USD6/ADS or HKD47

Valuation methodology	Implied value	Upside/downside Potential	Parameters
Methodology 1			
EV/Sales (USD)	6.8		0.6x EV/sales
Methodology 2			
DCF (USD)	5.1		WACC of 13.9%
Price Objective (rounded) (USD)	6.0	22%	
Price Objective (rounded) (HKD)	47.0	23%	

Source: BofA Global Research estimates

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Seres

Downgrade from Buy to Underperform

We downgrade Seres-H from Buy to Underperform, given (1) intensifying competition for M8/M9 could pressure volume growth; (2) poor near-term earnings visibility, due to rising raw-material costs, asset write-down-related product upgrades, ramp-up of low-margin M6; (3) the stock trades at 28x one-year forward P/E (vs. historical average at 24x), looks stretched considering its worse-than-expected earnings and weaker visibility.

M8 & M9 face fierce competition in large SUV segment; M6 feature low margin

We turn more cautious on AITO due to intensifying competition. In the premium large-SUV segment, M8/M9 face stiff competition from newly launched flagship models such as Li Auto new L9, ZEEKR 8X/9X, and NIO new ES8/ES9, VOYAH Taishan X8. Meanwhile, AITO also competes with a growing number of Huawei-backed and independent premium EREV/BEV offerings. As the competitive landscape becomes more crowded, we expect the volume sales to be negatively impacted. Also, the recently launched M6, which targets a more mass-market customer base, appears to carry a lower margin profile than M7, M8 and M9, raising concerns about profitability.

2Q26 net loss at RMB1.9-2.15bn; miss on material costs and impairment loss

Seres's preliminary 2Q26 net loss came in RMB1.9-2.15bn, missing BofA and market expectation. The worse-than-expected 2Q26 is due to 1) cost hikes of key raw materials, including memory chips, metals and lithium carbonate; 2) write-down on certain legacy assets due to model cycle refresh. Seres's 1H26 net loss was RMB1.5-1.8bn, including RMB1.05-1.30bn loss from AITO. Excluding non-recurring items, Seres's adjusted net loss will be RMB2.2-2.5bn, with AITO accounting for RMB1.7-1.95bn of the loss.

Earnings revision

Factoring in 2Q26 preliminary results and latest model pipelines, we lower 2026/27/28E revenue by 12%/10%/10%, respectively. Meanwhile, we reduce 2026/27/28E GPM by 1.6ppt/1.3ppt/1.2ppt to reflect more volume sales contribution from low-margin M6 and cost pressure. Net-net, we expect 2026 to post RMB116mn net loss (was RMB6.5bn net profit), and lower 2027/28E net income by 54%/51%.

Exhibit 24: New vs. old estimates

We lower 2027/28E net income by 54%/51%

	2026F			2027F			2028F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Total volume sales (units)	513,215	452,841	-11.8%	590,069	532,714	-9.7%	650,162	592,807	-8.8%
AITO brand	430,665	370,291	-14.0%	511,632	454,276	-11.2%	575,632	518,276	-10.0%
Others	82,550	82,550	0.0%	78,438	78,438	0.0%	74,531	74,531	0.0%
Revenue	151,096	132,818	-12.1%	171,571	154,555	-9.9%	187,550	170,874	-8.9%
AITO brand	137,418	119,140	-13.3%	157,669	140,653	-10.8%	173,332	156,656	-9.6%
Other EV models	5,921	1,480	-75.0%	5,512	1,378	-75.0%	5,402	1,350	-75.0%
ICEV	26,671	26,671	0.0%	24,831	24,831	0.0%	24,334	24,334	0.0%
Parts & Others	8,125	8,125	0.0%	8,766	8,766	0.0%	9,468	9,468	0.0%
Gross Profit	40,712	33,542	-17.6%	46,346	39,648	-14.5%	51,143	44,579	-12.8%
Operating Profit	4,396	-751	-117.1%	6,409	2,605	-59.4%	7,596	3,631	-52.2%
Pretax income	7,251	-116	-101.6%	9,190	3,936	-57.2%	10,498	4,882	-53.5%
Net Income	6,052	-210	-103.5%	7,812	3,346	-57.2%	8,923	4,150	-53.5%
Net Income attribute to shareholder	6,536	-116	-101.8%	8,252	3,786	-54.1%	9,363	4,590	-51.0%
EPS (RMB)	3.75	-0.07	-101.8%	4.74	2.17	-54.1%	5.37	2.63	-51.0%
Key ratios (%)									
Revenue growth	-8.5%	-19.5%		13.6%	16.4%		9.3%	-0.4%	
EPS growth	9.7%	-101.9%		26.3%	-3362.6%		13.5%	-44.4%	
Gross margin	26.9%	25.3%		27.0%	25.7%		27.3%	26.1%	
Operating margin	2.9%	-0.6%		3.7%	1.7%		4.1%	2.1%	
Net margin	4.0%	-0.2%		4.6%	2.2%		4.8%	2.4%	
OPEX to sales	24.0%	25.8%		23.3%	24.0%		23.2%	24.0%	

Source: BofA Global Research estimates

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Exhibit 25: Quarterly P&L summary

We expect Seres to post net loss in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26E	3Q26E	4Q26E	FYE '26
Revenue	19,147	43,255	48,133	54,519	165,054	25,746	32,441	35,618	39,013	132,818
AITO brand	15,761	39,869	44,747	51,134	150,404	22,360	29,055	32,233	35,627	119,140
Volume sales (unit)	45,279	106,774	123,876	154,052	429,981	69,999	90,610	100,000	109,682	370,291
ASP (RMB)	348,096	373,396	361,225	331,924	349,793	319,434	320,664	322,326	324,825	321,748
Other EV models	1,025	1,025	1,025	1,025	4,100	1,025	1,025	1,025	1,025	3,781
ICEV models	476	476	476	476	1,903	476	476	476	476	1,771
Parts & Others	1,885	1,885	1,885	1,885	7,540	1,885	1,885	1,885	1,885	8,125
Total cost of goods sold	13,859	30,487	33,717	38,891	116,954	18,990	25,012	26,749	28,524	99,276
Gross profit	5,288	12,768	14,415	15,629	48,100	6,755	7,429	8,869	10,489	33,542
Operating expenses	4,867	10,212	11,714	14,533	41,326	6,778	8,637	9,221	9,657	34,293
Operating income	421	2,556	2,701	1,096	6,774	-23	-1,208	-352	832	-751
Pretax income	892	2,833	2,974	770	7,470	849	-2,320	86	1,269	-116
Taxes or tax credit	151	496	415	261	1,323	238	-348	13	190	94
Profit before minority	741	2,337	2,560	510	6,147	611	-1,972	73	1,079	-210
Minority interest	-7	144	188	-135	190	-144	50	0	0	-94
Net income	748	2,193	2,371	644	5,957	754	-2,022	73	1,079	-116
EPS (RMB)	0.43	1.26	1.36	0.37	3.42	0.43	-1.16	0.04	0.62	-0.07
Fully diluted shares (mn)	1,742	1,742	1,742	1,742	1,742	1,742	1,742	1,742	1,742	1,742
Operating Ratios										
Gross margins	27.6%	29.5%	29.9%	28.7%	29.1%	26.2%	22.9%	24.9%	26.9%	25.3%
S&M	13.9%	14.5%	14.6%	15.0%	14.7%	14.4%	14.2%	13.6%	13.5%	13.9%
G&A	3.4%	2.0%	2.2%	4.0%	2.9%	2.9%	2.8%	2.6%	2.5%	2.7%
R&D	5.5%	4.3%	4.4%	5.3%	4.8%	7.0%	6.9%	6.6%	6.5%	6.7%
Operating margin	2.2%	5.9%	5.6%	2.0%	4.1%	-0.1%	-3.7%	-1.0%	2.1%	-0.6%
Pre-tax margin	4.7%	6.5%	6.2%	1.4%	4.5%	3.3%	-7.2%	0.2%	3.3%	-0.1%
Tax rate	16.9%	17.5%	13.9%	33.8%	17.7%	28.1%	15.0%	15.0%	15.0%	-80.3%
Net margin	3.9%	5.4%	5.3%	0.9%	3.7%	2.4%	-6.1%	0.2%	2.8%	-0.2%
YoY %										
Net revenues	-27.9%	12.4%	15.8%	41.4%	13.7%	34.5%	-25.0%	-26.0%	-28.4%	-19.5%
Gross profit	-7.5%	28.5%	28.1%	41.3%	26.7%	27.7%	-41.8%	-38.5%	-32.9%	-30.3%
Operating income	154.9%	153.4%	16.3%	-51.6%	17.6%	-105.4%	-147.3%	-113.0%	-24.1%	-111.1%
Net income	240.6%	56.1%	-1.7%	-66.2%	0.2%	0.9%	-192.2%	-96.9%	67.4%	-101.9%
Fully diluted EPS	195.2%	35.3%	-14.8%	-70.7%	-13.2%	0.9%	-192.2%	-96.9%	67.4%	-101.9%
QoQ %										
Net revenues	-50.3%	125.9%	11.3%	13.3%		-52.8%	26.0%	9.8%	9.5%	
Gross profit	-52.2%	141.5%	12.9%	8.4%		-56.8%	10.0%	19.4%	18.3%	
Operating income	-81.4%	506.9%	5.7%	-59.4%		-102.1%	N.M	-70.9%	-336.2%	
Net income	-60.8%	193.3%	8.1%	-72.8%		17.1%	N.M	-103.6%	1380.7%	
Fully diluted EPS	-66.0%	193.3%	8.1%	-72.8%		17.1%	N.M	-103.6%	1380.7%	

Source: BofA Global Research estimates, company report

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Valuation: Seres-H

We derive our PO of HKD46 (was HKD100), based on the average of DCF valuation method and P/E valuation method.

We derive a fair value of HKD54 (was HKD100) from our DCF calculation, with assumptions of lower 2026-36E FCF, 2% FCF perpetuity growth (unchanged) and WACC of 15.4% (was 14.9%). The fair value is lower, mainly due to FCF assumption cut and being loss making in 2026.

We derive our P/E-based valuation of HKD38 (was HKD100) by applying a target P/E of 24x (unchanged) to Seres's 2H26-1H27E EPS (roll over from 2026E EPS). Our target P/E multiple is based on the company's average PER in the past one year at 24x. We now use 24x target P/E (historical average) to reflect Seres entering a stabilized growth stage.

Exhibit 26: Valuation
Our PO for Seres is HKD46

Valuation methodology	Implied value (HKD)	Upside/downside Potential	Parameters
Methodology 1			
DCF	54		WACC of 15.4%
Methodology 2			
P/E multiple	38		24x
Price Objective	46	-3.6%	

Source: BofA Global Research estimates

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VOYAH

1H26 sales volume +36% YoY; Passion S launched in July

VOYAH posted sales volume of 76k units in 1H26, up 36% YoY. VOYAH announced that it will accelerate the rollout of product lineup under its all-electric strategy to further stimulate volume sales. In July 2026, the company launched a pure electric SUV, the Passion S. Passion S features sporty styling, high-performance powertrain, and intelligent driving technologies. In addition, VOYAH will start mass deliveries of Taishan X8 BEV in July. Based on VOYAH's self-developed intelligent electric architecture and Lanhai all-electric powertrain, the vehicle is equipped with new generation of Amber battery and 120kWh battery pack.

Earnings estimates revision and valuation

Factoring in 1H26 sales volume, we reduce VOYAH's 2026/27/28E revenue by 7%/8%/9%, given lower sales volume estimates. However, we slightly lift gross margin estimates to reflect better product mix. Net-net, we cut 2026/27/28E EPS by 6%/7%/8%. We reiterate Neutral on VOYAH as we expect solid vehicle sales volume growth, supported by strong model pipelines. However, the alliance with Huawei dilutes its differentiation and its growth may be capped as pricing flexibility is constrained by adjacency with M HERO at the high end and limited room to move down-market.

Exhibit 29: New vs. old estimates

We cut 2026/27/28E net income by 6%/7%/8% respectively

	2026F			2027F			2028F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Total volume sales (units)	193,043	178,197	-7.7%	249,438	227,629	-8.7%	281,197	254,035	-9.7%
Revenue	47,413	44,020	-7.2%	61,964	56,930	-8.1%	71,181	64,849	-8.9%
Passenger vehicles	44,118	40,725	-7.7%	57,577	52,543	-8.7%	65,557	59,225	-9.7%
Auto components	2,086	2,086	0.0%	2,815	2,815	0.0%	3,660	3,660	0.0%
Others	1,209	1,209	0.0%	1,572	1,572	0.0%	1,964	1,964	0.0%
Gross Profit	9,570	8,915	-6.8%	12,216	11,259	-7.8%	13,974	12,770	-8.6%
Operating Profit	372	375	0.9%	752	727	-3.3%	1,374	1,292	-6.0%
Pretax income	1,714	1,616	-5.7%	2,532	2,356	-7.0%	3,289	3,029	-7.9%
Net Income before minority	1,543	1,454	-5.7%	2,152	2,003	-7.0%	2,796	2,575	-7.9%
Net Income attribute to shareholder	1,543	1,454	-5.7%	2,152	2,003	-7.0%	2,796	2,575	-7.9%
Adjusted net income	1,603	1,514	-5.5%	2,212	2,063	-6.8%	2,856	2,635	-7.7%
EPS	0.42	0.40	-5.7%	0.58	0.54	-7.0%	0.76	0.70	-7.9%
Key ratios (%)									
Volume sales growth	28.6%	18.7%		29.2%	27.7%		12.7%	11.6%	
Revenue growth	36.0%	26.3%		30.7%	29.3%		14.9%	13.9%	
EPS growth	-86.5%	-87.3%		39.5%	37.7%		29.9%	28.6%	
Gross margin	20.2%	20.3%		19.7%	19.8%		19.6%	19.7%	
Operating margin	0.8%	0.9%		1.2%	1.3%		1.9%	2.0%	
Net margin	3.3%	3.3%		3.5%	3.5%		3.9%	4.0%	
Adjusted net margin	3.4%	3.4%		3.6%	3.6%		4.0%	4.1%	

Source: BofA Global Research estimates, company report

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Valuation

We derive our PO of HKD3.4 (previously HKD4.1) per share for VOYAH by using an equal-weighted average of EV/sales and DCF valuation methodologies, the same as we apply to other EV start-ups.

Exhibit 30: VOYAH's valuation summary

Our new PO is HKD3.4

Valuation methodology	Implied value (HKD)	Upside Potential	Parameters
Methodology 1			
DCF	2.4		WACC of 14%
Methodology 2			
EV/sales	4.4		0.2 x
PO (rounded)	3.4	18%	

Source: BofA Global Research estimates

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DCF methodology: We derive a fair value of HKD2.4 (previously HKD2.9) from our DCF calculation, assuming 1% FCF perpetuity growth. For WACC, we use a 3.0% risk-free rate, 12% market return, and beta of 1.6 to calculate and derive the discount rate (WACC) of 14.0% (previously 15.4%).

EV/sales methodology: We derive a fair value of HKD4.4 (previously HKD5.3), based on 0.2x EV/sales (previously 0.25x) over average of 2026-27E sales (roll over from 2026E) for VOYAH. VOYAH was listed in March 2026. The target EV/sales multiple is lower than our target multiple for its Chinese NEV peers (0.8-1.5x target multiple), given (1) VOYAH avoids direct competition with its parent company's mass-market (er, Aeolus, Forthing) and entry-level (Nanmi) brands, while sitting below M HERO's ultra-high-end positioning. However, adjacency with M HERO at the high end and limited room to move down-market mean its TAM is smaller than other EV companies, and (2) limited export sales potential in the near term as it is a new brand and it is priced at the high end.

Xpeng

2Q26 sales volume in line; material price hike offset by better scale and mix

XPeng's 2Q26 sales volume was flat YoY at 103k units, accounting for 100% of our previous 2Q26 estimate, and in line with its guidance of 100-106k units. Management guided 2Q26-blended GPM of 20%, with vehicle GPM relatively stable at 12-13%. According to management, the cost hikes from higher material price, including memory and batteries in 2Q26, are largely offset by technology-driven cost reductions and a more favorable product mix. Since April, all Max variants adopted XPeng's self-developed Turing chip, resulting in hundred dollars of cost savings per vehicle, while higher contribution from high-margin models and overseas sales continue to lift profitability.

MONA L03 global launch in July; MONA L03 and G9L in 2H26

On 16 July, XPeng launched the compact AI SUV Coupe, the MONA L03, which is the first global model to launch simultaneously in China and Europe, and is planned for markets in 65 countries and regions. Going forward, XPeng plans to launch 1) five-seater SUV G9L based on GX's platform in 3Q26, which should contribute high margin and solid sales; 2) MONA L05 targeting family users in Oct'2026. XPeng plans to start overseas delivery of all new models in 4Q26, and targets 90k units overseas sales in 2026 (+100% YoY).

Earnings revision

Factoring in 2Q26 sales volume and our new sales assumptions, we cut XPeng's 2026/27/28E volume sales by 10%/9%/8%. We lift 2026E GPM by 0.5ppt but lower 2027/28E GPM by 0.1ppt/0.3ppt. Net-net, we widen Xpeng's 2026/27E non-GAAP net loss by 50%/266%. We reiterate Buy as we see a solid model pipeline in 2H26, and new business like robotaxi and humanoid robot to pave way for long-term sales growth.

Exhibit 31: New vs. old estimates

We widen Xpeng's 2026/27E non-GAAP net loss by 50%/266%

RMB mn	2026F			2027F			2028F		
	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Volume (units)	528,371	474,815	-10.1%	638,778	579,813	-9.2%	663,795	611,030	-7.9%
Consolidated sales	94,822	86,753	-8.5%	109,253	99,258	-9.1%	114,791	105,586	-8.0%
Gross profit	17,127	16,108	-6.0%	18,607	16,788	-9.8%	19,699	17,839	-9.4%
Loss from operations	-4,577	-5,030	9.9%	-3,350	-5,139	53.4%	-2,660	-4,319	62.4%
Adjusted profit (loss) from operations (non-GAAP)	-3,937	-4,391	11.5%	-2,665	-4,454	67.1%	-1,960	-3,619	84.7%
Loss before income taxes	-2,990	-4,158	39.1%	-1,356	-3,145	131.9%	-616	-2,275	269.3%
Net loss	-2,999	-4,167	38.9%	-1,356	-3,145	131.9%	-616	-2,275	269.3%
Net loss attributable to ordinary shareholders	-3,011	-4,179	38.8%	-1,356	-3,145	131.9%	-616	-2,275	269.3%
Non-GAAP net loss attributable to ordinary shareholders	-2,320	-3,488	50.3%	-671	-2,460	266.4%	84	-1,575	-1980.5%
Net loss per ADS attributable to ordinary shareholders (RMB)	-3.15	-4.37	38.8%	-1.42	-3.29	131.9%	-0.64	-2.38	269.3%
Net loss per ADS attributable to ordinary shareholders (USD)	-0.45	-0.62	38.8%	-0.20	-0.47	131.9%	-0.09	-0.34	269.3%
ASP per car (RMB, K)	161	162	0.7%	155	155	0.2%	157	157	0.2%
Key ratios (%)									
Sales growth	23.6%	13.1%		15.2%	14.4%		5.1%	6.4%	
EPS growth	N.M.	N.M.		N.M.	N.M.		N.M.	N.M.	
Gross margin	18.1%	18.6%		17.0%	16.9%		17.2%	16.9%	
Operating margin	-4.8%	-5.8%		-3.1%	-5.2%		-2.3%	-4.1%	
Net margin	-3.2%	-4.8%		-1.2%	-3.2%		-0.5%	-2.2%	
OPEX to sales	22.9%	24.4%		20.1%	22.1%		19.5%	21.0%	

Source: BofA Global Research estimates

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Exhibit 32: Xpeng's P&L summary (quarterly)

We expect Xpeng to be loss-making in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Sales volume	94,008	103,181	116,007	116,249	429,445	62,682	103,295	127,689	181,149	474,815
Revenue	15,811	18,274	20,381	22,254	76,720	13,034	20,042	22,421	31,256	86,753
Total cost of goods sold	13,351	15,107	16,277	17,512	62,247	10,351	15,995	18,367	25,932	70,646
Gross profit (loss)	2,460	3,167	4,104	4,742	14,473	2,683	4,047	4,054	5,324	16,108
SG&A	1,946	2,167	2,493	2,792	9,398	1,883	2,505	2,915	3,438	10,742
R&D	1,981	2,206	2,429	2,874	9,490	2,907	3,006	2,691	3,126	11,729
Operating expenses	3,927	4,373	4,922	5,667	18,888	4,790	5,512	5,605	6,564	22,471
Other income	426	271	66	880	1,644	233	250	200	650	1,333
Loss from operations	-1,041	-935	-751	-44	-2,771	-1,874	-1,215	-1,351	-589	-5,030
Loss before income taxes	-649	-531	-394	417	-1,157	-1,763	-1,028	-1,090	-277	-4,158
Income tax expenses	8	-9	-7	22	14	9	0	0	0	9
Net profit (loss)	-657	-522	-387	395	-1,170	-1,772	-1,028	-1,090	-277	-4,167
Net profit (loss) attributable to ordinary shareholders	-664	-478	-381	383	-1,139	-1,784	-1,028	-1,090	-277	-4,179
Non-GAAP net profit (loss) attributable to shareholders	-662	-317	-299	587	-692	-1,583	-873	-935	-97	-3,488
Net profit (loss) per ADS attributable to shareholders (RMB)	-0.69	-0.50	-0.40	0.40	-1.19	-1.86	-1.07	-1.14	-0.29	-4.37
Fully diluted shares (mn)	957	957	957	957	957	957	957	957	957	957
Operating Ratios										
Gross margin	15.6%	17.3%	20.1%	21.3%	18.9%	20.6%	20.2%	18.1%	17.0%	18.6%
SG&A/sales	12.3%	11.9%	12.2%	12.5%	12.3%	14.5%	12.5%	13.0%	11.0%	12.4%
R&D/sales	12.5%	12.1%	11.9%	12.9%	12.4%	22.3%	15.0%	12.0%	10.0%	13.5%
Operating margin	-6.6%	-5.1%	-3.7%	-0.2%	-3.6%	-14.4%	-6.1%	-6.0%	-1.9%	-5.8%
Pre-tax margin	-4.1%	-2.9%	-1.9%	1.9%	-1.5%	-13.5%	-5.1%	-4.9%	-0.9%	-4.8%
Tax rate	-1.2%	1.8%	1.8%	5.3%	-1.2%	-0.5%	0.0%	0.0%	0.0%	-0.2%
Net margin	-4.2%	-2.9%	-1.9%	1.8%	-1.5%	-13.6%	-5.1%	-4.9%	-0.9%	-4.8%

Source: Company report, BofA Global Research estimates

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Valuation

We derive our new PO of USD19/ADS or HKD74/share (vs. prior USD25/HKD98) using an average of EV/sales valuation and DCF valuation.

DCF-based fair value: We derive a fair value of USD19.2 (was USD23.4) from our DCF calculation, with assumptions of 2% FCF perpetuity growth. We use a 3.5% risk-free rate, 11% market return and beta of 1.2 to calculate and derive the discount rate (WACC) of 11.4% (was 11.6%, due to change of capital structure). Our DCF-implied value is lower since we cut sales/FCF forecast.

EV/sales-based fair value: We derive a fair value of USD18.5 (was USD25.9) from the EV/sales method. We apply a target EV/sales multiple of 1.0x (was 1.5x) to 2H26E-1H27E sales (roll over from 2026E). The 1.0x target multiple is 1SD below historical average one-year forward EV/sales since the IPO, but higher than its EV peers, due to XPeng's higher volume sales growth, and new business like robotaxi and humanoid robot to pave way for long-term sales growth.

Exhibit 33: Valuation summary

Our new PO is USD19/ADS or HKD74

Valuation methodology	Implied value	Upside/downside Potential	Parameters
Methodology 1			
EV/Sales (USD)	18.5		1x EV/sales
Methodology 2			
DCF (USD)	19.2		WACC of 11.4%
Price Objective (rounded) (USD)	19.0	49%	
Price Objective (rounded) (HKD)	74.0	43%	

Source: BofA Global Research estimates

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Auto parts

Fuyao

2Q26 margin remains resilient despite softer demand

Management noted that, consistent with the 1Q26 trend, 2Q26 shipments were pressured by weaker domestic auto sales, partly offset by continued market-share gains in the overseas markets. European auto demand has been relatively stable, while US auto sales have underperformed expectations. Fuyao sees potential for FY26 ASP growth to exceed its 6-7% guidance and continues to target extra rebates of <2%. Rising gas and freight costs have had only a marginal impact on 2Q26 margins. Despite a softer automotive demand backdrop, management expects operating margins to remain resilient YoY, supported by production flexibility and scale efficiencies. The company's US operations were affected by a fire incident in 2Q26, pushing the expected full recovery date to September from August. However, both asset losses and lost profits are expected to be fully reimbursed by insurance, with the related gain likely to be recognized in 3Q26.

Earnings revision and valuation

Factoring in the latest outlook, we lower our 2026/27E revenue by 2%/5%, but tweak up 2026/27E GPM by 0.1ppt/0.3ppt. Net-net, we lower 2026/27E earnings by 1%/4%. Our new PO for Fuyao-H of HKD75 (from HKD70) is based on 17x (unchanged) over 2H26-1H27E EPS (migrated from 2026E). This is in line with the company's historical average as we believe Fuyao's steady market-share gain and increasing value-added content continues. We reiterate Buy rating, given we expect: 1) Fuyao's ASP expansion together with mild volume growth, 2) resilient business model and industry leading position & market share.

Exhibit 38: New vs old estimates

We cut our 2026/27E earnings by 1%/4%

	2026F			2027F			2028F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated sales	52,653	51,689	-1.8%	61,231	58,044	-5.2%	70,621	66,534	-5.8%
Automotive glass - volume (mn sqm)	181	178	-1.7%	198	187	-5.1%	214	202	-5.5%
Automotive glass - ASP (RMB/sqm)	267	267	0.0%	286	286	0.0%	306	306	0.0%
Gross Profit	19,395	19,102	-1.5%	22,362	21,373	-4.4%	25,948	24,438	-5.8%
Operating Profit	11,261	11,109	-1.3%	13,198	12,686	-3.9%	15,378	14,480	-5.8%
Pretax income	11,641	11,489	-1.3%	14,018	13,506	-3.7%	16,198	15,300	-5.5%
Net Income before minority	9,720	9,594	-1.3%	11,705	11,278	-3.7%	13,525	12,776	-5.5%
Net Income attribute to shareholder	9,716	9,590	-1.3%	11,705	11,278	-3.7%	13,525	12,776	-5.5%
EPS	3.72	3.67	-1.3%	4.49	4.32	-3.7%	5.18	4.90	-5.5%
Key ratios (%)									
Sales growth	15.0%	12.9%		16.3%	12.3%		15.3%	14.6%	
EPS growth	4.3%	3.0%		20.5%	17.6%		15.6%	13.3%	
Gross margin	36.8%	37.0%		36.5%	36.8%		36.7%	36.7%	
Operating margin	21.4%	21.5%		21.6%	21.9%		21.8%	21.8%	
Net margin	18.5%	18.6%		19.1%	19.4%		19.2%	19.2%	

Source: BofA Global Research estimates, company report

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Exhibit 39: P&L summary (quarterly)

We expect the core profitability to remain resilient in 2Q26 despite lower shipment growth

(RMB mn)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26	4Q26	2026F
Revenue	9,910	11,537	11,855	12,486	45,787	10,413	12,114	13,870	15,292	51,689
Cost of goods sold	6,402	7,097	7,362	7,862	28,722	6,521	7,608	8,710	9,748	32,587
Gross profit	3,508	4,440	4,493	4,623	17,065	3,892	4,507	5,160	5,544	19,102
Promotion	299	326	321	382	1,328	324	351	374	459	1,508
Adm	683	850	896	975	3,403	806	884	1,026	1,193	3,909
R&D	423	460	510	520	1,913	506	485	596	642	2,229
Operating expenses	1,483	1,721	1,816	1,970	6,990	1,713	1,799	2,087	2,393	7,992
Operating income	2,025	2,719	2,677	2,654	10,075	2,179	2,708	3,072	3,150	11,109
Pretax income	2,486	3,308	2,783	2,585	11,162	2,028	2,793	3,307	3,361	11,489
Taxes or tax credit	455	532	523	335	1,845	316	447	595	538	1,896
Profit before minority	2,031	2,777	2,260	2,249	9,317	1,713	2,346	2,712	2,824	9,594
Minority interest	1	2	1	1	4	1	1	1	1	4
Net income	2,030	2,775	2,259	2,248	9,312	1,712	2,345	2,711	2,823	9,590
EPS (RMB)	0.78	1.06	0.87	0.86	3.57	0.66	0.90	1.04	1.08	3.67
Fully diluted shares (mn)	2,610	2,610	2,610	2,610	2,610	2,610	2,610	2,610	2,610	2,610
Operating Ratios										
Gross margins	35.4%	38.5%	37.9%	37.0%	37.3%	37.4%	37.2%	37.2%	36.3%	37.0%
Promotion	3.0%	2.8%	2.7%	3.1%	2.9%	3.1%	2.9%	2.7%	3.0%	2.9%
Adm	6.9%	7.4%	7.6%	7.8%	7.4%	7.7%	7.3%	7.4%	7.8%	7.6%
R&D	4.3%	4.0%	4.3%	4.2%	4.2%	4.9%	4.0%	4.3%	4.2%	4.3%
Operating margin	20.4%	23.6%	22.6%	21.3%	22.0%	20.9%	22.4%	22.2%	20.6%	21.5%
Pre-tax margin	20.5%	24.1%	19.1%	18.0%	20.3%	16.4%	19.4%	19.6%	18.5%	18.6%
Tax rate	18.3%	16.1%	18.8%	13.0%	16.5%	15.6%	16.0%	18.0%	16.0%	16.5%
Net margin	20.5%	24.1%	19.1%	18.0%	20.3%	16.4%	19.4%	19.6%	18.5%	18.6%
YoY %										
Revenue	12.2%	21.4%	18.9%	14.1%	16.7%	5.1%	5.0%	17.0%	22.5%	12.9%
Gross profit	7.8%	23.8%	16.1%	31.6%	20.0%	10.9%	1.5%	14.8%	19.9%	11.9%
Operating income	17.7%	31.3%	21.8%	20.6%	23.0%	7.6%	-0.4%	14.8%	18.7%	10.3%
Net income	46.3%	31.5%	14.1%	11.4%	24.2%	-15.7%	-15.5%	20.0%	25.5%	3.0%
Fully diluted EPS	46.3%	31.5%	14.1%	11.4%	24.2%	-15.7%	-15.5%	20.0%	25.5%	3.0%
QoQ %										
Revenue	-9.4%	16.4%	2.7%	5.3%		-16.6%	16.3%	14.5%	10.3%	
Gross profit	-0.2%	26.6%	1.2%	2.9%		-15.8%	15.8%	14.5%	7.4%	
Operating income	-8.0%	34.3%	-1.6%	-0.9%		-17.9%	24.2%	13.5%	2.5%	
Net income	0.5%	36.7%	-18.6%	-0.5%		-23.9%	37.0%	15.6%	4.1%	
Fully diluted EPS	0.5%	36.7%	-18.6%	-0.5%		-23.9%	37.0%	15.6%	4.1%	

Source: BofA Global Research estimates, company report

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Joyson

2Q26 short-term pressure due to weak China sales and raw material cost hike

We believe the sluggish EV sales in China and the raw material prices hike will weigh on the company's revenue growth and gross margin. However, the company's effective cost-control measures would have led to lower opex-to-sales ratio, in our view. The company started to ship ADAS domain controllers for SAIC Group from mid-2026 and will ship to overseas clients from 4Q26. The incremental sales will drive the company's auto electronics sales growth from 2H26 onward. On the other hand, Joyson expects low single-digit revenue growth of auto safety sales in 2026-28E, driven by market-share gain and ASP growth underpinned by the auto intelligence trend. With economies of scale and improvement in operating efficiency, management targets 5% net profit margin by 2028E, up from 2.2% in 2025.

Earnings revision

We cut our 2026/27/28E EPS by 4%/5%/4% to reflect the industry sales headwind in China and the raw material cost inflation. We have a Buy rating on Joyson H for the following reasons: 1) potential for ongoing cost-saving efforts to lift profitability; 2) potential incremental revenue contribution from humanoid robot business; and 3) likely accelerating sales growth of auto electronics on new orders.

Exhibit 42: New vs. old estimates

We cut our 2026/27/28E EPS by 4%/5%/4%, respectively

	2026F			2027F			2028F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Net sales (consolidated basis)	63,910	61,358	-4.0%	67,434	64,557	-4.3%	71,410	67,986	-4.8%
Auto safety	38,843	38,079	-2.0%	39,232	38,460	-2.0%	39,624	38,844	-2.0%
Auto electronics & others	25,067	23,279	-7.1%	28,202	26,097	-7.5%	31,786	29,141	-8.3%
Gross Profit	11,940	11,331	-5.1%	12,727	12,026	-5.5%	13,559	12,738	-6.1%
Operating Profit	3,952	3,682	-6.8%	4,480	4,142	-7.5%	4,917	4,570	-7.0%
Pretax income	2,820	2,576	-8.7%	3,377	3,026	-10.4%	3,822	3,463	-9.4%
Net Income	2,090	1,992	-4.7%	2,514	2,337	-7.1%	2,849	2,674	-6.2%
Net Income attribute to shareholder	1,727	1,666	-3.5%	2,060	1,952	-5.3%	2,327	2,232	-4.1%
EPS (RMB)	1.11	1.07	-3.5%	1.33	1.26	-5.3%	1.50	1.44	-4.1%
Key ratios (%)									
Sales growth	4.5%	0.3%		5.5%	5.2%		5.9%	5.3%	
Auto safety	1.0%	-1.0%		1.0%	1.0%		1.0%	1.0%	
Auto electronics & others	10.3%	2.4%		12.5%	12.1%		12.7%	11.7%	
EPS growth	17.4%	13.3%		19.3%	17.1%		13.0%	14.4%	
Gross margin	18.7%	18.5%		18.9%	18.6%		19.0%	18.7%	
Operating margin	6.2%	6.0%		6.6%	6.4%		6.9%	6.7%	
Net margin	3.3%	3.2%		3.7%	3.6%		4.0%	3.9%	
OPEX to sales	12.5%	12.5%		12.2%	12.2%		12.1%	12.0%	

Source: BofA Global Research estimates

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Exhibit 43: Joyson's P&L summary (quarterly)

We expect Joyson to deliver RMB415mn PAT in 2Q26, up 13% YoY

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Revenue	14,576	15,771	15,497	15,338	61,183	13,815	15,584	16,117	15,841	61,358
Total cost of goods sold	11,967	12,871	12,611	12,538	49,987	11,375	12,743	13,087	12,822	50,027
Gross profit	2,609	2,900	2,886	2,800	11,196	2,441	2,841	3,030	3,019	11,331
Promotion	200	212	199	203	815	128	187	193	206	714
SG&A	712	796	890	961	3,359	697	771	886	982	3,337
R&D	796	897	864	731	3,289	839	855	899	755	3,349
Operating expenses	1,768	1,972	2,014	1,967	7,721	1,710	1,879	2,042	2,017	7,648
Operating income	841	929	872	833	3,475	730	961	988	1,002	3,682
Pretax income	590	657	597	341	2,185	582	734	737	522	2,576
Taxes or tax credit	187	151	143	88	570	120	162	170	132	583
Profit before minority	403	506	454	253	1,616	463	572	568	390	1,992
Minority interest	63	139	41	37	280	61	157	52	57	326
Net income	340	367	413	216	1,336	402	415	516	332	1,666
EPS (RMB)	0.24	0.26	0.29	0.15	0.95	0.26	0.27	0.33	0.21	1.07

Exhibit 43: Joyson's P&L summary (quarterly)

We expect Joyson to deliver RMB415mn PAT in 2Q26, up 13% YoY

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Fully diluted shares (mn)	1,409	1,409	1,409	1,409	1,409	1,551	1,551	1,551	1,551	1,551
Operating Ratios										
Gross margins	17.9%	18.4%	18.6%	18.3%	18.3%	17.7%	18.2%	18.8%	19.1%	18.5%
Promotion	1.4%	1.3%	1.3%	1.3%	1.3%	0.9%	1.2%	1.2%	1.3%	1.2%
SG&A	4.9%	5.0%	5.7%	6.3%	5.5%	5.0%	4.9%	5.5%	6.2%	5.4%
R&D	5.5%	5.7%	5.6%	4.8%	5.4%	6.1%	5.5%	5.6%	4.8%	5.5%
Operating margin	5.8%	5.9%	5.6%	5.4%	5.7%	5.3%	6.2%	6.1%	6.3%	6.0%
Pre-tax margin	4.0%	4.2%	3.9%	2.2%	3.6%	4.2%	4.7%	4.6%	3.3%	4.2%
Tax rate	31.7%	23.0%	24.0%	25.8%	26.1%	20.6%	22.0%	23.0%	25.3%	22.6%
Net margin	2.8%	3.2%	2.9%	1.6%	2.6%	3.3%	3.7%	3.5%	2.5%	3.2%
YoY %										
Net revenues	9.8%	14.3%	10.3%	4.1%	9.5%	-5.2%	-1.2%	4.0%	3.3%	0.3%
Gross profit	28.1%	34.2%	30.5%	5.6%	23.5%	-6.5%	-2.0%	5.0%	7.8%	1.2%
Operating income	27.3%	12.1%	13.4%	153.8%	34.4%	-13.2%	3.5%	13.3%	20.3%	6.0%
Net income	11.1%	11.2%	35.4%	1036.4%	39.1%	18.1%	13.1%	25.0%	54.2%	24.7%
Fully diluted EPS	11.1%	11.2%	35.4%	1036.4%	39.1%	7.3%	2.8%	13.6%	40.1%	13.3%
QoQ %										
Net revenues	-1.0%	8.2%	-1.7%	-1.0%		-9.9%	12.8%	3.4%	-1.7%	
Gross profit	-1.6%	11.2%	-0.5%	-3.0%		-12.9%	16.4%	6.7%	-0.4%	
Operating income	156.3%	10.4%	-6.0%	-4.5%		-12.3%	31.6%	2.8%	1.4%	
Net income	1694.7%	7.9%	12.4%	-47.8%		86.5%	3.3%	24.2%	-35.6%	
Fully diluted EPS	1694.7%	7.9%	12.4%	-47.8%		69.4%	3.3%	24.2%	-35.6%	

Source: BofA Global Research estimates, company data

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Valuation**Joyson-H:** We derive our PO of HKD18.8 (was HKD24), based on the SOTP valuation methodology.

Auto safety & electronics: we apply 10x P/E (from 13x) to the average of 2026-27 net profit from auto safety and electronics. Our target PER of 10x is 20% lower than the average one-year forward P/E for HK-listed Chinese auto parts companies, given the company's thin profitability compared with peers.

Humanoid robot components: we apply 50x P/E to 2030E net profit from humanoid robot components. Our target PER of 50x P/E is in line with the target PER of other Chinese humanoid robot component suppliers. We discount 2030E-implied value with 10.2% WACC (was 11.2%, due to a change in capital structure, which is based on a 3.5% risk-free rate, 11.0% market return, and beta of 1.3).

Exhibit 44: Joyson' SOTP valuation summary

Our H-share PO is HKD18.8/RMB29.4

(RMBmn)	Avg. 2026-27 net profit	2030E net profit	2030 implied value	2026 implied value	% to total implied value	Remarks
Auto safety & electronics businesses	1,809			18,087	71.0%	10 x P/E
Humanoid robot head assembly		240	12,000	7,338	29.0%	50 x P/E, 10.2% discount rate
Fair value total (RMBmn)				25,425		
Share count (mn)				1,551		
BofA Price Objective (HKD): Joyson-H				18.8		

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Minth

Stable margin in 2026E despite raw material cost increase

In 1H26, we expect Minth's revenue to be adversely impacted by the sluggish PV sales in China. On the margin side, price increase of raw materials such as aluminum dragged the company's gross margin of aluminum parts and body structure. Despite the negative factors, we still expect double-digit earnings growth and stable gross margin in 2026. The stable margin seems to be driven by 1) Minth's better-than-expected annual price reduction negotiation; 2) effective pass-through mechanism, especially in the battery housing business; 3) high material efficiency for aluminum parts. For the rest of 2026, we are positive about its sales growth in Europe on strong EV sales momentum and market-share gain in the aluminum parts business, given the exit of a competitor.

Robust new businesses – robotics, SOFC, liquid cooling

Recently, Minth announced that UAT (44.2% directly and indirectly owned by Minth), an associate of the company, entered into an agreement with Mirle to set up a joint venture in Taiwan to develop intelligent robots and robotic dogs. Management expects the robotic business to contribute RMB500mn sales to the company in 2026, including sale of components and robotic assembly. Further, Minth announced it will start the components of SOFC (solid oxide fuel cell) solutions business and has sent samples of interconnect, support structure, and bipolar plate to potential clients. Minth has secured new orders for support structure, bipolar plate, and frame from SOFC clients in China. Lastly, for the AIDC liquid cooling business, management said the delivery of manifold and liquid cooling tank started in late-2025, and more new products such as liquid cooling plate and CDU (cooling distribution unit) will start delivery from 2H26.

Earnings revision

Factoring in our latest growth and margin assumptions, we cut our 2026/27/28E earnings by 2%/1%/1%, respectively. Our PO is HKD40 (from HKD52), based on 12x (from 17x, 1 standard deviation above its past-3-year average) 2H26 & 1H27 P/E. Our lower target multiple is justified by weaker earnings forecast and our more conservative view about its short-term outlook on robotic component sales. We reiterate Buy rating as we expect Minth to deliver sustainable earnings growth in 2026-27 with an attractive valuation (9x 2026E P/E). We also have a positive view on its new businesses.

Exhibit 45: New vs. old estimates

We cut our 2026/27/28E EPS by 2%/1%/1%, respectively

	2026F			2027F			2028F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated sales	28,965	28,929	-0.1%	32,816	32,680	-0.4%	37,274	37,098	-0.5%
Battery housing	9,214	9,214	0.0%	11,057	11,057	0.0%	13,268	13,268	0.0%
Legacy business	19,750	19,715	-0.2%	21,759	21,623	-0.6%	24,005	23,829	-0.7%
Gross Profit	8,043	7,963	-1.0%	9,155	9,074	-0.9%	10,411	10,328	-0.8%
Operating Profit	4,096	4,023	-1.8%	4,686	4,627	-1.3%	5,219	5,165	-1.0%
Pretax income	3,793	3,719	-1.9%	4,382	4,324	-1.3%	4,916	4,861	-1.1%
Net Income before minority	3,186	3,124	-1.9%	3,681	3,632	-1.3%	4,129	4,083	-1.1%
Net Income attribute to shareholder	3,104	3,042	-2.0%	3,596	3,547	-1.4%	4,039	3,993	-1.1%
EPS	2.70	2.65	-2.0%	3.13	3.09	-1.4%	3.52	3.48	-1.1%
Key ratios (%)									
Sales growth	12.5%	12.4%		13.3%	13.0%		13.6%	13.5%	
Battery housing	22.4%	22.4%		20.0%	20.0%		20.0%	20.0%	
Legacy business	8.5%	8.3%		10.2%	9.7%		10.3%	10.2%	
EPS growth	15.3%	13.0%		15.9%	16.6%		12.3%	12.6%	
Gross margin	27.8%	27.5%		27.9%	27.8%		27.9%	27.8%	
Operating margin	14.1%	13.9%		14.3%	14.2%		14.0%	13.9%	
Net margin	10.7%	10.5%		11.0%	10.9%		10.8%	10.8%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 46: Minth's P&L summary (half year)

We expect Minth to deliver RMB1.4bn net profit in 1H26, up 10% YoY

(RMB mn)	1H25	2H25	2025	1H26F	2H26F	2026F	1H27F	2H27F	2027F
Revenue	12,287	13,450	25,737	13,866	15,063	28,929	15,654	17,026	32,680
Cost of goods sold	8,814	9,716	18,530	10,123	10,843	20,966	11,331	12,275	23,606
Gross profit	3,473	3,734	7,207	3,743	4,220	7,963	4,323	4,751	9,074
Promotion	512	519	1,031	569	587	1,156	626	664	1,290
Adm	805	1,055	1,859	887	1,085	1,972	971	1,158	2,128
R&D	726	775	1,502	804	859	1,663	908	970	1,878
Operating expenses	2,043	2,349	4,392	2,260	2,531	4,791	2,505	2,792	5,297
Operating income	1,738	1,854	3,592	1,883	2,140	4,023	2,218	2,409	4,627
Pretax income	1,571	1,725	3,296	1,731	1,988	3,719	2,066	2,257	4,324
Taxes or tax credit	251	274	526	277	318	595	331	361	692
Profit before minority	1,319	1,451	2,770	1,454	1,670	3,124	1,736	1,896	3,632
Minority interest	43	35	78	45	37	82	45	40	85
Net income	1,277	1,416	2,692	1,409	1,633	3,042	1,691	1,856	3,547
EPS (RMB)	1.11	1.23	2.34	1.23	1.42	2.65	1.47	1.62	3.09
Fully diluted shares (mn)	1,149	1,149	1,149	1,149	1,149	1,149	1,149	1,149	1,149
Operating Ratios									
Gross margins	28.3%	27.8%	28.0%	27.0%	28.0%	27.5%	27.6%	27.9%	27.8%
Promotion	4.2%	3.9%	4.0%	4.1%	3.9%	4.0%	4.0%	3.9%	3.9%
Adm	6.5%	7.8%	7.2%	6.4%	7.2%	6.8%	6.2%	6.8%	6.5%
R&D	5.9%	5.8%	5.8%	5.8%	5.7%	5.7%	5.8%	5.7%	5.7%
Operating margin	14.1%	13.8%	14.0%	13.6%	14.2%	13.9%	14.2%	14.1%	14.2%
Pre-tax margin	12.8%	12.8%	12.8%	12.5%	13.2%	12.9%	13.2%	13.3%	13.2%
Tax rate	16.0%	15.9%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%
Net margin	10.4%	10.5%	10.5%	10.2%	10.8%	10.5%	10.8%	10.9%	10.9%
YoY %									
Revenue	10.8%	11.6%	11.2%	12.9%	12.0%	12.4%	12.9%	13.0%	13.0%
Gross profit	9.9%	5.6%	7.6%	7.8%	13.0%	10.5%	15.5%	12.6%	13.9%
Operating income	11.7%	4.9%	8.1%	8.3%	15.4%	12.0%	17.8%	12.6%	15.0%
Net income	19.5%	13.1%	16.1%	10.4%	15.3%	13.0%	20.0%	13.7%	16.6%
Fully diluted EPS	19.5%	13.1%	16.1%	10.4%	15.3%	13.0%	20.0%	13.7%	16.6%
HoH %									
Revenue	1.9%	9.5%		3.1%	8.6%		3.9%	8.8%	
Gross profit	-1.8%	7.5%		0.3%	12.7%		2.4%	9.9%	
Operating income	-1.7%	6.7%		1.5%	13.6%		3.7%	8.6%	
Net income	2.0%	10.9%		-0.4%	15.9%		3.6%	9.8%	
Fully diluted EPS	2.0%	10.9%		-0.4%	15.9%		3.6%	9.8%	

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Nexteer

Europe & South America: decent performance; APAC: margin under pressure

For Europe and South America markets (c. 20% revenue contribution), 1H26 revenue growth and earnings recovery were supported by the ramp-up of new STLA programs, favorable FX movements, and stronger-than-expected overseas demand from Chinese OEMs. While most Chinese OEM exports currently rely on components shipped from China, management sees increasing localization over time, particularly for larger players such as BYD. Management expected EBITDA margin in the region to approach 10%. For APAC market (c. 30% revenue contribution), 1H26 revenue was dragged by subdued demand from China domestic market but partially offset by strong China export - China overall vehicle production likely declined by <10% YoY in 1H26. Management acknowledged ongoing cost pressure and the need to negotiate cost pass-through mechanisms with Chinese OEMs, which dragged EBITDA margin in APAC region

North America: volume drags, yet operational improvement on track

For North America market (c. 50% revenue contribution), GM and Ford volumes remain under pressure, while demand in the pickup and SUV segments has been relatively resilient and STLA continues to recover from a low base in 1H26. Management emphasized progress in customer diversification, with opportunities expanding to include Tesla, Nissan, Toyota's larger SUV and pickup platforms, and Korean OEMs. In 1H26, cost reduction and manufacturing efficiency improvements, particularly in Mexico, helped offset volume headwinds. Tariff recovery, program-related compensation and potential asset disposals could provide additional support to earnings in 1H26.

Earnings revision and valuation

Factoring in the latest outlook, we reduce our 2026/27E revenue by 1%/1%, and lower 2026/27E GPM by 0.2ppt/0.2ppt. Net-net, we lower 2026/27E earnings by 7%/6%. We trim our PO to HKD5.6 (from HKD8.2), based on 12x (was 18x) 2H26-1H27E EPS (was 2026E). We used to apply 18x PER, which was 1SD above Nexteer's historical average one-year forward P/E. Now we change to 12x PER, which is Nexteer's historical average one-year forward P/E, to reflect a mixed outlook for new growth drivers (SbW, EMB orders), improving margin outlook in Europe and North America, but weaker-than-expected volume and continued margin pressure in China. We reiterate Buy, as we favor Nexteer's margin improvement outlook and see new SbW, EMB orders as fresh catalysts.

Exhibit 47: New vs old estimates

We cut our 2026/27E earnings by 7%/6%

	2026F			2027F		
(USD mn)	Old	New	diff. (%)	Old	New	diff. (%)
Net sales (consolidated basis)	4,836	4,793	-0.9%	5,090	5,043	-0.9%
North America	2,325	2,325	0.0%	2,371	2,371	0.0%
Asia Pacific	1,645	1,594	-3.1%	1,810	1,754	-3.1%
Europe and South America	866	874	1.0%	909	918	1.0%
Gross Profit	566	549	-3.0%	632	613	-2.9%
Operating Profit	198	184	-6.9%	242	228	-6.1%
Pretax income	211	197	-6.5%	255	240	-5.8%
Net Income	158	148	-6.5%	191	180	-5.8%
Net Income attribute to shareholder	147	136	-7.0%	179	168	-6.2%
EPS	0.06	0.05	-7.0%	0.07	0.07	-6.2%
Key ratios (%)						
Sales growth	5.5%	4.6%		5.3%	5.2%	
North America sales growth	1.5%	1.5%		2.0%	2.0%	
Asia Pacific sales growth	12.0%	8.5%		10.0%	10.0%	
European and South America sales growth	5.0%	6.0%		5.0%	5.0%	
EPS growth	43.7%	33.7%		22.3%	23.3%	
Gross margin	11.7%	11.5%		12.4%	12.2%	
Operating margin	4.1%	3.8%		4.8%	4.5%	
Net margin	3.3%	3.1%		3.8%	3.6%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 48: P&L summary (half year)

We expect 11.5%/12.2% gross profit margin in 2026/27

(USD mn)	1H25	2H25	2025	1H26F	2H26F	2026F	1H27F	2H27F	2027F
Revenue	2,242	2,342	4,584	2,334	2,460	4,793	2,453	2,590	5,043
Total cost of goods sold	1,983	2,078	4,061	2,077	2,167	4,244	2,166	2,264	4,430
Gross profit	259	264	523	257	293	549	287	326	613
Promotion	11	12	22	12	12	24	12	13	25
G&A	81	89	170	82	86	168	86	91	177
R&D	75	99	175	82	101	183	86	106	192
Operating expenses	168	200	368	175	199	374	184	210	394
Operating income	93	69	163	88	96	184	108	120	228
Pretax income	96	72	168	93	104	197	113	127	240
Taxes or tax credit	27	29	55	23	26	49	28	32	60
Profit before minority	69	44	113	69	78	148	85	96	180
Minority interest	6	5	11	6	5	11	6	6	12
Net income	63	39	102	63	73	136	78	90	168
EPS (USD)	0.03	0.02	0.04	0.03	0.03	0.05	0.03	0.04	0.07
Fully diluted shares (mn)	2,510	2,510	2,510	2,510	2,510	2,510	2,510	2,510	2,510
Operating Ratios									
Gross margins	11.5%	11.3%	11.4%	11.0%	11.9%	11.5%	11.7%	12.6%	12.2%
Promotion	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
G&A	3.6%	3.8%	3.7%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
R&D	3.4%	4.2%	3.8%	3.5%	4.1%	3.8%	3.5%	4.1%	3.8%
Operating margin	4.2%	3.0%	3.5%	3.8%	3.9%	3.8%	4.4%	4.6%	4.5%
Tax rate	27.9%	39.7%	33.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
Net margin	2.8%	1.6%	2.2%	2.7%	3.0%	2.8%	3.2%	3.5%	3.3%
YoY %									
Revenue	6.8%	7.6%	7.2%	4.1%	5.0%	4.6%	5.1%	5.3%	5.2%
Gross profit	22.7%	11.2%	16.6%	-0.9%	10.8%	5.1%	11.8%	11.5%	11.6%
Operating income	125.4%	-5.6%	41.6%	-5.9%	39.1%	13.3%	23.2%	23.9%	23.6%
Net income	304.5%	-16.3%	65.3%	0.0%	89.2%	33.7%	23.4%	23.2%	23.3%
Fully diluted EPS	304.5%	-16.3%	65.3%	0.0%	89.2%	33.7%	23.4%	23.2%	23.3%
HoH %									
Revenue	3.0%	4.4%		-0.4%	5.4%		-0.3%	5.6%	
Gross profit	9.0%	2.0%		-2.8%	14.0%		-2.0%	13.7%	
Operating income	26.8%	-25.5%		26.4%	10.0%		12.0%	10.7%	
Net income	37.9%	-39.3%		64.7%	14.9%		7.4%	14.7%	
Fully diluted EPS	37.9%	-39.3%		64.7%	14.9%		7.4%	14.7%	

Source: BofA Global Research estimates, company data

BofA GLOBAL RESEARCH

LK Tech

2HFY26 miss on lower revenue and higher opex ratio

In 2HFY26 (Oct'2025-Mar'2026), LK Tech's revenue came in at HKD2.3bn, down 27% YoY/27% HoH, 33% lower than our estimate. Gross margin dropped 0.5ppt YoY but rose 2.4ppt HoH to 25.9%. The opex-to-sales ratio came in at 34.1%, up 14.8ppt YoY/16.6ppt HoH, dragged by lower economies of scale and higher R&D expenses. Net loss came in at HKD104mn, vs. HKD141mn net income in 1HFY26 and HKD202mn in 2HFY25, missing our estimate.

Die-casting business facing cyclical headwinds and delivery delays

The die-casting machine business remained under pressure in FY26 due to a combination of weaker industry demand and project delivery delays. As EV industry entered a cyclical slowdown, OEMs became more cautious on capex, resulting in slower production-line expansion and softer demand for large and ultra-large integrated die-casting equipment. In addition, stiff industry competition weighed on profitability, while delays in project execution, on-site installation/customer acceptance postponed revenue recognition for several large orders, leading to weaker-than-expected segment revenue.

Plastic injection molding machine and overseas remain bright spots

On a more positive note, the plastic injection molding business continued to diversify its end-market exposure, with the toy segment recording more than 55% growth for a second consecutive year and becoming the second-largest application segment. Meanwhile, LK's globalization strategy continued to gain traction, with overseas revenue growing 28.2% YoY and increasing its contribution to total revenue from 15.5% to 20.7% in FY26. Europe remained a key growth driver, with revenue surging 64.4% YoY on strong demand from the new-energy equipment and high-end manufacturing sectors, while Asia-Pacific and other emerging markets delivered even stronger growth of 76.9% YoY as order momentum accelerated. North America faced a temporary slowdown due to competitive pressures and project timing.

Earnings revision and valuation

Factoring in the 2HFY26 results and latest outlook, we lower our FY2027E EPS by 72%. We cut our PO from HKD3.2 to HKD1.2, based on 10x PER (unchanged) on FY27E EPS (roll over FY26E). We reiterate Underperform due to the die-casting machine business likely being dragged by the auto industry capex contraction.

Exhibit 49: LK Tech's new vs. old estimates

We lower net income by 72% for FY27E

	FY26			FY27F		
HK\$m	Old	Actual	diff. (%)	Old	New	diff. (%)
Consolidated revenue	6,420	5,609	-12.6%	7,022	6,335	-9.8%
Die-casting machine (DCM)	4,060	3,663	-9.8%	4,283	4,083	-4.7%
Plastic injection molding machine (PIMM)	2,109	1,798	-14.7%	2,425	2,068	-14.7%
CNC machining center	251	148	-41.2%	314	185	-41.2%
Gross Profit	1,744	1,375	-21.2%	1,933	1,556	-19.5%
Operating Profit	659	143	-78.3%	804	308	-61.7%
Pretax income	583	64	-89.0%	728	199	-72.7%
Net Income	495	50	-90.0%	619	169	-72.7%
Net Income attribute to shareholder	440	38	-91.4%	559	159	-71.5%
EPS	0.32	0.03	-91.4%	0.41	0.12	-71.5%
Key ratios (%)						
Sales growth	10.2%	-3.7%		9.4%	13.0%	
EPS growth	25.8%	-89.2%		26.9%	320.5%	
Gross margin	27.2%	24.5%		27.5%	24.6%	
Operating margin	10.3%	2.5%		11.4%	4.9%	
Net margin	7.7%	0.9%		8.8%	2.7%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 50: LK Tech's quarterly P&L summary

We expect LK Tech to post 321% YoY net profit growth in FY27 on a low base

(HK\$ mn)	FY1H25	FY2H25	2025	FY1H26	FY2H26	2026	FY1H27E	FY2H27E	2027E
Revenue	2,594	3,231	5,825	3,260	2,348	5,609	2,922	3,414	6,335
Total cost of goods sold	1,850	2,378	4,228	2,493	1,741	4,234	2,201	2,578	4,780
Gross profit	745	853	1,597	767	607	1,375	720	836	1,556
Promotion	255	214	468	224	254	478	240	274	513
Adm	367	387	754	351	506	856	400	474	874
Operating expenses	629	624	1,253	572	802	1,374	640	748	1,387
Operating income	217	319	536	250	-107	143	140	168	308
Pretax income	195	281	476	208	-144	64	88	111	199
Taxes or tax credit	29	44	73	40	-25	15	13	17	30
Profit before minority	166	237	403	168	-118	50	75	95	169
Minority interest	18	35	53	26	-15	12	10	0	10
Net income	148	202	350	141	-104	38	65	95	159
EPS (RMB)	0.11	0.15	0.26	0.10	-0.08	0.03	0.05	0.07	0.12
Fully diluted shares (mn)	1,364	1,364	1,364	1,364	1,364	1,364	1,364	1,364	1,364
Operating Ratios									
Gross margins	28.7%	26.4%	27.4%	23.5%	25.9%	24.5%	24.6%	24.5%	24.6%
Promotion	9.8%	6.6%	8.0%	6.9%	10.8%	8.5%	8.2%	8.0%	8.1%
Adm	14.1%	12.0%	13.0%	10.8%	21.5%	15.3%	13.7%	13.9%	13.8%
Operating margin	8.3%	9.9%	9.2%	7.7%	-4.6%	2.5%	4.8%	4.9%	4.9%
Pre-tax margin	7.5%	8.7%	8.2%	6.4%	-6.1%	1.1%	3.0%	3.3%	3.1%
Tax rate	14.8%	15.6%	15.3%	19.4%	17.7%	23.0%	15.0%	15.0%	15.0%
Net margin	5.7%	6.2%	6.0%	4.3%	-4.4%	0.7%	2.2%	2.8%	2.5%
YoY %									
Net revenues	-5.8%	4.8%	-0.2%	25.7%	-27.3%	-3.7%	-10.4%	45.4%	13.0%
Gross profit	3.3%	-1.8%	0.6%	3.0%	-28.7%	-13.9%	-6.1%	37.6%	13.2%
Operating income	-20.6%	-17.3%	-18.7%	15.4%	N.M	N.M	-43.9%	N.M	115.7%
Net income	-27.7%	-27.7%	-27.7%	-4.7%	N.M	N.M	-54.4%	N.M	320.5%
Fully diluted EPS	-27.0%	-27.0%	-27.0%	-4.7%	N.M	N.M	-54.4%	N.M	320.5%
HoH %									
Net revenues	-15.9%	24.5%		0.9%	-28.0%		24.4%	16.9%	
Gross profit	-14.2%	14.5%		-10.0%	-20.8%		18.5%	16.1%	
Operating income	-43.9%	47.4%		-21.7%	N.M		N.M	19.8%	
Net income	-46.8%	35.9%		-29.9%	N.M		N.M	46.8%	
Fully diluted EPS	-46.3%	35.9%		-29.9%	N.M		N.M	46.8%	

Source: Company report, BofA Global Research estimates

BofA GLOBAL RESEARCH

Auto dealers

Yongda

Strategic partnership accelerates expansion into embodied intelligence

On 15 July, Yongda announced that it entered into a strategic cooperation framework agreement with Hongxin Electronics to establish a long-term partnership aimed at expanding into embodied intelligence commercial application services. The cooperation will initially focus on two foundational areas - computing power infrastructure and data collection/training services- through the establishment of joint ventures, before gradually extending into embodied AI deployment, robotics applications, project implementation, leasing and operational services. We view the partnership as a strategic step for Yongda to leverage its customer resources, delivery capabilities and service network while utilizing Hongxin's expertise in AI computing infrastructure and ecosystem resources, potentially opening up new growth avenues beyond its traditional automobile distribution business.

Earnings revision and valuation

Factoring in the latest outlook, we widen 2026E net loss by 58% and lower 2027E net income by 38%. We apply target P/B of 0.15x to 2026E BVPS and derive our new PO of HKD0.71 (previously HKD1.67). Our target P/B of 0.15x is 2SD below Yongda's historical one-year forward P/B in the past one year (previously 0.35x, in line with Yongda's historical average), reflecting Yongda's continued pressure in new-car sales and rising challenges in aftermarket business, which may cause asset impairment. We reiterate Underperform on Yongda, as we believe (1) increasing exposure to BMW sales will continue to exert pressure on new-car margins; (2) sales of Porsche brand faces weakening demand in China due to the intensified competition from Chinese high-end EV brands and weak macro.

Exhibit 60: Yongda's new vs. old estimates

We widen 2026E net loss by 58% and lower 2027E net income by 38%

	2026F			2027F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)
Revenue	48,887	48,182	-1.4%	46,142	45,205	-2.0%
New car sales	35,924	35,607	-0.9%	33,179	32,630	-1.7%
Used car sales	2,929	2,929	0.0%	2,929	2,929	0.0%
After-sales services	9,702	9,314	-4.0%	9,702	9,314	-4.0%
Automobile leasing services	372	372	0.0%	372	372	0.0%
Commission income	1,525	1,525	0.0%	1,555	1,555	0.0%
Consolidated revenue	50,412	49,707	-1.4%	47,697	46,760	-2.0%
Gross Profit	2,572	2,393	-7.0%	2,829	2,629	-7.1%
New car sales	-1,612	-1,634	1.3%	-1,356	-1,398	3.2%
Used car sales	176	176	0.0%	176	176	0.0%
After-sales services	3,953	3,795	-4.0%	3,953	3,795	-4.0%
Operating Profit	-107	-226	111.5%	417	296	-28.9%
Pretax income	-207	-326	57.5%	316	196	-38.0%
Net Income	-166	-261	57.5%	253	157	-38.0%
Net Income attribute to shareholder	-166	-261	57.5%	253	157	-38.0%
EPS	-0.09	-0.14	57.5%	0.13	0.08	-38.0%
Key ratios (%)						
Sales growth	-6.4%	-7.7%		-5.6%	-6.2%	
EPS growth	-96.7%	-94.9%		-252.7%	-160.1%	
Gross margin	5.3%	5.0%		6.1%	5.8%	
New car sales	-4.5%	-4.6%		-4.1%	-4.3%	
Used car sales	6.0%	6.0%		6.0%	6.0%	
After-sales services	40.7%	40.7%		40.7%	40.7%	
Operating margin	-0.2%	-0.5%		0.9%	0.7%	
Net margin	-0.3%	-0.5%		0.5%	0.3%	

Source: BofA Global Research estimates

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Exhibit 61: Yongda's P&L summary (half year)

Forecast 2026 net loss to be RMB261mn

(RMB mn)	1H25	2H25	2025	1H26F	2H26F	2026F
Revenue	25,436	26,792	52,228	23,777	24,406	48,182
New car sales	18,777	20,333	39,111	17,393	18,214	35,607
Used car sales	1,561	1,522	3,083	1,483	1,446	2,929
After-sales services	4,918	4,784	9,702	4,721	4,592	9,314
Total cost of goods sold	24,702	25,574	50,275	22,624	23,166	45,789
Gross profit	734	1,219	1,953	1,153	1,240	2,393
New car sales	-1,371	-834	-2,204	-887	-747	-1,634
Used car sales	97	94	191	89	87	176
After-sales services	1,978	1,932	3,910	1,922	1,874	3,795
Promotion	1,488	1,801	3,289	1,379	1,416	2,795
Administration	776	631	1,407	713	636	1,349
Operating expenses	2,264	2,432	4,696	2,092	2,051	4,144
Operating income	128	-485	-357	-184	-41	-226
Pretax income	-3,491	-1,887	-5,378	-235	-91	-326
Taxes or tax credit	-7	-17	-24	-47	-18	-65
Profit before minority	-3,485	-1,870	-5,354	-188	-73	-261
Minority interest	-153	-130	-283	0	0	0
Net income	-3,331	-1,740	-5,071	-188	-73	-261
EPS (RMB)	-1.76	-0.92	-2.68	-0.10	-0.04	-0.14
Fully diluted shares (mn)	1,892	1,892	1,892	1,892	1,892	1,892
Operating Ratios						
Gross margins	2.9%	4.5%	3.7%	4.8%	5.1%	5.0%
New car sales	-7.3%	-4.1%	-5.6%	-5.1%	-4.1%	-4.6%
Used car sales	6.2%	6.2%	6.2%	6.0%	6.0%	6.0%
After-sales services	40.2%	40.4%	40.3%	40.7%	40.8%	40.7%
Promotion	5.8%	6.7%	6.3%	5.8%	5.8%	5.8%
Administration	3.1%	2.4%	2.7%	3.0%	2.6%	2.8%
Operating margin	0.5%	-1.8%	-0.7%	-0.8%	-0.2%	-0.5%
Pre-tax margin	-13.7%	-7.0%	-10.3%	-1.0%	-0.4%	-0.7%
Tax rate	0.2%	0.9%	0.4%	20.0%	20.0%	20.0%
Net margin	-13.1%	-6.5%	-9.7%	-0.8%	-0.3%	-0.5%
YoY %						
Net revenues	-15.7%	-12.3%	-14.0%	-6.5%	-8.9%	-7.7%
Gross profit	-57.1%	34.0%	-25.5%	57.1%	1.7%	22.5%
Operating income	-42.7%	-367.3%	-188.0%	-243.6%	-91.5%	-36.8%
Net income	NM	-2047.8%	NM	NM	-95.8%	NM
Fully diluted EPS	NM	-2047.8%	NM	NM	-95.8%	NM
HoH %						
Net revenues	-16.8%	5.3%		-11.3%	2.6%	
Gross profit	-19.3%	66.0%		-5.4%	7.5%	
Operating income	-29.3%	N.M		N.M	N.M	
Net income	NM	NM		N.M	N.M	
Fully diluted EPS	NM	NM		N.M	N.M	

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Zhongsheng

Store optimization remains on track

In 1H26, Zhongsheng continued to reshape its dealership network, closing underperforming traditional-brand stores while accelerating its expansion into EV brands. Most of the store adjustments have involved conversions rather than greenfield investments, helping limit capital intensity. AITO remains the key contributor within the EV portfolio, accounting for the vast majority of the group's EV sales in 1H26, while newly added brands such as Lynk & Co, Geely Galaxy, Leapmotor, Zeekr and Voyah are still in the ramp-up phase.

New car & used-car sales under pressure; aftersales relatively resilient

Zhongsheng's new car sales volume declined YoY in 1H26, reflecting both weak demand for traditional premium brands and the impact of store closures, particularly among mid-to-high-end brands. New car sales margin remains unclear, as OEMs have yet to provide clear guidance on rebate and incentive policies. 1H26 used-car sales were also affected by softer new-car demand and a lesser supportive trade-in policy environment. In 1H26, aftersales business has remained relatively resilient on a same-store basis. Store closures weighed on aftersales serviced units. The mix also shifted, with accident-related repair visits increasing while auto OEM warranty work declined.

Earnings revision and valuation

Factoring in the latest outlook, we cut our 2026/27E EPS by 50%/40%. We apply target P/B of 0.22x to 2026E BVPS and derive our new PO of HKD4.5 (previously HKD8.0). Our target P/B of 0.22x is 2SD below Zhongsheng's average historical one-year forward P/B in the past one year. This reflects Zhongsheng's continued pressure in new car sales and rising challenges in aftermarket business, which may cause asset impairment. We used target P/E multiple of 13x to 2026E EPS previously. We change from P/E to P/B valuation method, as Zhongsheng's near-term earnings visibility weakened, making balance sheet value a more appropriate anchor for valuation. We reiterate Underperform rating on Zhongsheng, given: (1) new car sales GPM may remain under pressure, (2) aftermarket business face challenges from the rise of EV ownership in China.

Exhibit 62: Zhongsheng's new vs. old estimates

We cut our 2026/27E net income by 50%/40%

	2026F			2027F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated revenue	160,782	127,976	-20.4%	154,658	124,917	-19.2%
New car sales	122,707	95,774	-21.9%	117,104	93,892	-19.8%
Used car sales	12,235	8,711	-28.8%	12,230	8,707	-28.8%
After-sales services	25,841	23,492	-9.1%	25,324	22,317	-11.9%
Gross Profit	10,778	8,887	-17.6%	11,330	9,424	-16.8%
New car sales	-1,893	-2,110	11.4%	-1,100	-1,064	-3.3%
Used car sales	526	366	-30.5%	526	366	-30.5%
After-sales services	12,146	10,630	-12.5%	11,904	10,122	-15.0%
Other income (commission etc.)	1,772	1,529	-13.7%	1,729	1,494	-13.6%
Operating Profit	3,064	2,353	-23.2%	3,934	3,048	-22.5%
Pretax income	1,678	794	-52.7%	2,548	1,489	-41.6%
Net Income	1,258	595	-52.7%	1,911	1,116	-41.6%
Net Income attribute to shareholder	1,328	665	-49.9%	1,971	1,176	-40.3%
EPS	0.56	0.28	-49.9%	0.83	0.49	-40.3%
Key ratios (%)						
Sales growth	-2.2%	-22.2%		-3.8%	-2.4%	
EPS growth	-179.4%	-139.8%		48.4%	76.8%	
Gross margin	6.7%	6.9%		7.3%	7.5%	
New car sales	-1.5%	-2.2%		-0.9%	-1.1%	
Used car sales	4.3%	4.2%		4.3%	4.2%	
After-sales services	47.0%	45.3%		47.0%	45.4%	
Operating margin	1.9%	1.8%		2.5%	2.4%	
Net margin	0.8%	0.5%		1.2%	0.9%	

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Exhibit 63: Zhongsheng's P&L summary (half year)

Forecast 2026 net income to be RMB665mn

(RMB mn)	1H25	2H25	2025	1H26F	2H26F	2026F
Revenue	77,322	87,081	164,403	61,155	66,821	127,976
New car sales	57,931	67,947	125,878	45,117	50,657	95,774
Used car sales	6,015	6,409	12,424	4,000	4,711	8,711
After-sales services	13,377	12,725	26,102	12,039	11,453	23,492
Total cost of goods sold	73,113	82,453	155,566	56,950	62,140	119,090
Gross profit	4,209	4,628	8,838	4,206	4,681	8,887
New car sales	-2,388	-1,321	-3,709	-1,416	-694	-2,110
Used car sales	257	278	535	168	198	366
After-sales services	6,340	5,671	12,012	5,454	5,177	10,630
Other income (commission income)	2,229	838	3,067	745	784	1,529
Promotion	3,434	4,393	7,827	2,997	3,146	6,143
Adm	1,099	1,210	2,309	917	1,002	1,920
Operating expenses	4,533	7,894	12,427	3,914	4,149	8,063
Operating income	1,905	-2,427	-522	1,037	1,316	2,353
Pretax income	1,221	-3,279	-2,058	258	536	794
Taxes or tax credit	297	-455	-159	64	134	198
Profit before minority	924	-2,824	-1,900	193	402	595
Minority interest	-87	-139	-226	-40	-30	-70
Net income	1,011	-2,685	-1,673	233	432	665
EPS (RMB)	0.42	-1.13	-0.70	0.10	0.18	0.28
Fully diluted shares (mn)	2,386	2,386	2,386	2,386	2,386	2,386
Operating Ratios						
Gross margins	5.4%	5.3%	5.4%	6.9%	7.0%	6.9%
New car sales	-4.1%	-1.9%	-2.9%	-3.1%	-1.4%	-2.2%
Used car sales	4.3%	4.3%	4.3%	4.2%	4.2%	4.2%
After-sales services	47.4%	44.6%	46.0%	45.3%	45.2%	45.3%
Promotion	4.4%	5.0%	4.8%	4.9%	4.7%	4.8%
Adm	1.4%	1.4%	1.4%	1.5%	1.5%	1.5%
Operating margin	2.5%	-2.8%	-0.3%	1.7%	2.0%	1.8%
Pre-tax margin	1.6%	-3.8%	-1.3%	0.4%	0.8%	0.6%
Tax rate	24.3%	13.9%	7.7%	25.0%	25.0%	25.0%
Net margin	1.3%	-3.1%	-1.0%	0.4%	0.6%	0.5%
YoY %						
Net revenues	-6.2%	1.6%	-2.2%	-20.9%	-23.3%	-22.2%
Gross profit	-14.6%	-19.4%	-17.2%	-0.1%	1.1%	0.6%
Operating income	-30.9%	-183.2%	-109.2%	-45.5%	-154.2%	-550.5%
Net income	-36.0%	-264.4%	-152.1%	-76.9%	-116.1%	-139.8%
Fully diluted EPS	-36.4%	-263.3%	-151.7%	-76.9%	-116.1%	-139.8%
HoH %						
Net revenues	-9.8%	12.6%		-29.8%	9.3%	
Gross profit	-26.7%	10.0%		-9.1%	11.3%	
Operating income	-34.7%	N.M		N.M	26.9%	
Net income	-38.1%	N.M		N.M	85.4%	
Fully diluted EPS	-38.5%	N.M		N.M	85.4%	

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Exhibit 64: Abbreviation summary

We summarized key abbreviations and definitions below

Abbreviation	Full form
AD	autonomous driving
ADAS	advanced driver assistance systems
AI	artificial intelligence
AIDC	artificial intelligence data center
ASP	average selling price
BEV	battery electric vehicle
CV	commercial vehicle
DCU	domain control unit
EMB	Electro-mechanical brake
ESS	energy storage system
EV	electric vehicle
FX	foreign exchange
ICEV	internal combustion engine vehicle
IPO	initial public offering
JV	joint venture
LiDAR	light detection and ranging
NEV	new energy vehicle
OEM	original equipment manufacturer
PHEV	plug in hybrid electric vehicle
PV	passenger vehicle
SbW	steer-by-wire
SOE	state-owned enterprise

Source: BofA Global Research

BofA GLOBAL RESEARCH

Investment Rationale

Chery Auto

We have a Buy on Chery Auto. We expect Chery Auto's earnings growth to be driven by (1) EV business turnaround with EV rising penetration, more sales contribution from high-end models, better margin, (2) overseas business to see a more diversified country exposure and more EV contribution, (3) enhanced vehicle intelligence to sharpen brand positioning.

Seres

We have an underperform rating on Seres. We expect (1) intensifying competition for M8/M9 could pressure volume growth, (2) poor near-term earnings visibility, due to rising raw-material costs, asset write-downs related product upgrades, ramp-up of low-margin M6, (3) valuation looks stretched considering its worse-than-expected earnings and weaker visibility.

Price objective basis & risk

BAIC Motor (BMCLF)

We derive our PO of HKD0.80 based on 0.11x of 2026-27E BVPS. Our target multiple of 0.11x is based on BAIC's 3-year average P/B ratio, which we believe is warranted as BAIC is expected to continue to see margin pressure from JV brand and loss-making status of its own brand, similar to the situation starting from 3 years ago.

Upside risks: Stronger rebound of Beijing Hyundai, more successful model launches, and faster turnaround of Beijing Brand.

Downside risks: Weak macro, intense competition, and dull luxury brand demand.

BYD (BYDDF / BYDDY)

Our PO is HKD123 per share (USD16 per ADR). We derive our PO using a sum-of-the-parts (SOTP) valuation.

EV sales: we apply 1.3x P/S to BYD's average 2026-27E sales. Our target multiple of 1.3x P/S is in line with BYD's historical average one-year forward P/S since IPO and is slightly higher than peers, which we see as justified given 1) industry leadership in the EV battery segment, 2) improved autonomous driving technology, and 3) higher growth in exports.

External EV & ESS battery sales: we apply 1.3x P/S to its average 2026-27E EV & ESS sales. Our target multiple - 1.3x P/S - is BYD's historical average one-year forward EV/sales since IPO, which we see as justified, given: 1) industry leadership in the EV battery segment, 2) improved LFP blade battery and enhanced charging speed.

BYDE: we apply 16x P/E to BYDE's average 2026-27E EPS in our SOTP, in line with peers' average.

Downside risks: failure to improve operational metrics, as measured by plant utilization, average engine size, new energy vehicle (NEV) competition, supply chain and operation challenges amid tariff resurgence in China.

Chery Auto (XCAVF)

We derive our PO of HKD34, based on the average of the DCF and P/E valuation methods, similar to what we apply to Chinese auto OEM peers. We believe DCF is a suitable valuation methodology as it better captures a company's net profit, working capital management, capex, and cash-flow generation. On the other hand, we believe P/E is another suitable methodology for Chery Auto as it captures the sustained earnings growth we anticipate the company will achieve.

DCF methodology: We derive a DCF-based fair value of HKD36.7, with assumptions of 1% FCF perpetuity growth rate. For WACC, we use a 3.0% risk-free rate, 12% market return and beta of 1.4 to calculate and derive the discount rate (WACC) of 14.4%.

P/E methodology: We derive our P/E-based valuation of HKD31.1 by applying a target P/E of 8x to Chery Auto's average 2026-27E EPS. Chery Auto was listed in late-September 2025, thus its trading period is still short. We apply our target multiple of 8x, which is the average P/E of H-share auto OEM peers that are trading at.

Downside risks: export expansion slower than expected, pricing pressure due to overseas competition, new products execution risks.

Fuyao Glass (FIGIF)

Our PO for Fuyao-H of HKD75 is based on 17x over 2H26-1H27E EPS which is in line with the company's historical average as we believe Fuyao's steady market share gain and increasing value-added content momentum to continue.



Downside risk: 1) fails to utilize its overseas manufacturing facilities fully, 2) auto market weakens, 3) Oil/gas prices shoot up, as energy costs are a major cost component, 4) Fuyao fails to execute its product mix upgrade and ASP improvement, 5) uptake of sunroof sales slows, 6) large RMB appreciation due to overseas revenue, 7) further development from the investigation could disrupt operation, and growth of its US subsidiaries.

Upside risks: 1) R&D breakthroughs in value-added glass products, 2) margin upside from an ASP increase, 3) faster vehicle penetration increase in China, 4) rapid scale-up in overseas plant utilization.

Geely (GELYF)

We use the average of P/E and discounted cash flow (DCF) methodologies to derive our PO at HKD27.3.

DCF methodology: A fair value of HKD31.2 is derived from our DCF calculation, with assumptions of 1% FCF perpetuity growth, 1.4 beta and hence 13.2% weighted-average cost of capital (WACC).

P/E methodology: We derive our P/E-based valuation of HKD23.4 by applying a target P/E of 10x to Geely's average 2026-27E EPS. Our target P/E of 10x is based on par with its past-3-year historical average P/E. We view this multiple appropriate, as we forecast 11% adjusted EPS CAGR 2026-28E (implying 0.9x PEG ratio).

Downside risks: (1) new products execution risk in 2026, (2) export expansion slower than expected

Great Wall Motor (GWLLF)

Our PO of HK\$10.8 for GWM-H is derived from an average of P/E and discounted cash flow (DCF) methodologies.

DCF methodology: A fair value of HK\$11.4 is derived from our DCF calculation, with an assumption of 1% FCF perpetuity growth and 10.7% weighted-average cost of capital (WACC).

P/E methodology: We derive our P/E-based valuation of HK\$10.2 by applying a target P/E of 8x (in line with the past 3-year historical average) to GWM-H's 2026-27E EPS. We believe it is fair to adopt a conservative target multiple amid the fierce price competition.

Upside risks: Success of WEY launch and stronger-than-expected margin recovery

Downside risks: Weak macro, competition, Haval brand aging

Guangzhou Automobile Group (GNZUF)

We derive a fair value of HKD2.3, based on 0.2x P/B to 2026-27E BVPS for GAC. Our target PBR of 0.2x is based on the stock's latest historical 3-year average one-year forward PBR. We use historical 3-year average PBR to value GAC's latest net asset value, after GAC started to make loss when its Trumpchi and Aion started to make loss, and its JV brands (Toyota, Honda) lose market.

Upside risks are stronger-than-expected share gain, successful launch of new model.

Downside risks are macro, competition.

Joyson (XJYSF)

Our PO is HKD18.8 based on the SOTP valuation methodology.

Auto safety & electronics businesses: we apply 10x P/E to the average of 2026-27E net profit from auto safety and electronics. Our target PER of 10x is 20% lower than the average 1-year forward PE of HK listed Chinese auto parts companies, given its thin

profitability compared with peers.

Humanoid robot components: we apply 50x P/E to its 2030E net profit from humanoid robot components. Our target PER of 50x P/E is in line with the target PER of other Chinese humanoid robot component suppliers. We discount 2030E implied value with 10.2% WACC.

Upside risks are faster-than-expected gross margin recovery in auto safety business, faster order wins in auto electronics business, faster orders growth in humanoid robot component, better expense control.

Downside risk: prolonged process of auto safety business consolidation that may incur more expense, higher R&D expense related to the development of humanoid robot components.

L.K. Technology (XBQXF)

Our PO of HKD1.2 is based on 10x FY27 EPS. Our target P/E of 10x is based on 0.5SD below LK's five-year historical average P/E. We use 0.5SD below five-year historical average P/E, as the industry demand is entering a downcycle.

Upside risks: higher-than-expected total addressable market (TAM), faster-than-expected capex spending recovery in auto/EV industry.

Downside risks: lower-than-expected total addressable market (TAM), competition.

Leapmotor (ZJLMF)

We derive our PO of HKD60 per share using an average of EV/sales valuation and DCF valuation method, the same as we apply to other EV start-up peers.

DCF valuation: We derive a fair value of HKD60.0 from our DCF calculation, with assumptions of 2% FCF perpetuity growth and discount rate (WACC) at 13.8%.

EV/sales valuation: We derive a fair value of HKD60.3, based on 0.5x target EV/sales over 2H26 & 1H27E sales for Leapmotor. Our target multiple of 0.5x is one standard deviation below historical average one-year forward EV/sales since the IPO, as we expect Leapmotor's margin will be under pressure due to subsidy cut and raw materials hike in 2026.

Leapmotor was listed in late-September 2022, thus its trading period is still short. Hence, we use peer average multiples as a reference point. In our view, EV trios are the closest peers for Leapmotor, given they are all (1) EV brands, (2) focused on technology innovation in AD, battery/charging, and vehicle connectivity, and (3) all listed on the Hong Kong Stock Exchange (EV trios are also listed in the US stock market).

Upside risks: new models are more popular than expected, which drives sales volume growth, GPM upside on falling raw materials and better scale. Downside risks: weak macro, new model being not popular, competition & deteriorating pricing environment, refinancing.

Li Auto (LI / LAAOF)

We derive our PO of USD16.5 per ADS (HKD64.4 per share) using an average of EV/sales valuation and DCF valuation.

DCF-based fair value: We derive a fair value of USD13 from our DCF calculation, with assumptions of 2% FCF perpetuity growth. For WACC, we use a 4.0% risk-free rate, 12% market return and Beta of 1.3 to calculate and derive the discount rate (WACC) of 15%.

EV/sales-based fair value: We derive a fair value of USD20. We apply a target EV/sales multiple of 0.6x to 2H26-1H27E sales. Our target multiple of 0.6x is 1SD below historical

average one-year forward EV/sales since the IPO, reflecting volume sales and margin pressure amid intensified competition. This is in line with most other EV companies under our coverage.

Upside risks: faster than expected overseas expansion, successful new electric models launch.

Downside risks: weak macro, competition from other brands, raw material cost hike.

Mint (MNTHF)

Our PO is HK\$40, based on 12x on the 2H26 & 1H27 EPS. We arrive at our target multiple of 12x, based on its 1SD above the historical 3-years average PER. We think this is warranted, as we see opportunity for the stock to trade above its historical PER, given its new businesses.

Downside risks: increasing trade tariff from China and Mexico to the US market, volatile margin in overseas plants, lower margin in battery housing business, and FX volatility.

Nexteer (NTXVF)

Our PO of HKD5.6 is based on 12x on the 2H26-1H27 EPS. Our target multiple is based on its historical trading average given the new steer by wire business, which may translate into strong earnings growth beyond 2027.

Downside risks: Chips shortage, Mexico tariff hike, intensified price competition, and short-term raw material prices and FX volatility eroding margin.

Upside risks: Securing orders from potential Chinese OEMs, continuous share gain from other suppliers in EPS and ADAS-EPS, and margin expansion by improving efficiency and operations.

NIO (NIO / NIOIF)

We derive our PO of USD6 per ADS (HKD47 per share) using an average of EV/sales valuation method and discounted cash flow (DCF) valuation method.

DCF-based fair value: We derive a fair value of USD5.1, mainly due to higher FCF, with assumptions of 2% FCF perpetuity growth. For WACC, we use a 4.0% risk-free rate, 12% market return, and beta of 1.5 to calculate and derive the discount rate (WACC) of 13.9%.

EV/sales-based fair value: We derive a fair value of USD6.8. We apply a target EV/sales multiple of 0.6x to 2H26-1H27E sales. Our target multiple of 0.6x is one standard deviation below historical average one-year forward EV/sales since the IPO, as we expect NIO's margin will be under pressure due to subsidy cut and raw materials hike in 2026.

Downside risks: slower production efficiency improvement, rising competition, pricing pressure, failure to secure financing.

NIO (XLTWF)

We derive our PO of USD6 per ADS (HKD47 per share) using an average of EV/sales valuation method and discounted cash flow (DCF) valuation method.

DCF-based fair value: We derive a fair value of USD5.1, mainly due to higher FCF, with assumptions of 2% FCF perpetuity growth. For WACC, we use a 4.0% risk-free rate, 12% market return, and beta of 1.5 to calculate and derive the discount rate (WACC) of 13.9%.

EV/sales-based fair value: We derive a fair value of USD6.8. We apply a target EV/sales multiple of 0.6x to 2H26-1H27E sales. Our target multiple of 0.6x is one standard deviation below historical average one-year forward EV/sales since the IPO, as we expect NIO's margin will be under pressure due to subsidy cut and raw materials hike in 2026.

Downside risks: slower production efficiency improvement, rising competition, pricing pressure, failure to secure financing.

Seres (XSGLF)

We derive our PO of HKD46, based on the average of DCF valuation method and P/E valuation method.

We derive a fair value of HKD54 from our DCF calculation, with assumptions of 2% FCF perpetuity growth and WACC of 15.4%.

We derive our P/E-based valuation of HKD38 by applying a target P/E of 24x to Seres's 2H26-1H27E EPS. Our target P/E multiple is based on the company's average PER in the past one year at 24x. We believe the PER (price/earnings ratio) in the past one year better reflects the company's latest growth outlook, given (1) Seres's major brand AITO started its new model cycle since September 2023 (new M7 + M9) and saw volume sales ramp up in 4Q23 and 2024, (2) Prior to that, Seres recorded net loss in 2020-2023 due to the small scale of AITO volume sales could not cover R&D and sales & marketing expense on AITO brand development. We use the company's historical average PER, as Seres is expected to enter a stabilized growth stage, v.s. previous stage in 2023-2024 when it turns from running at a loss to profit-making.

Downside risks to our PO are: macro factors that would negatively impact growth, new model failures, and competition from premium EV segment.

VOYAH (XRITF)

We derive our PO of HKD3.4 per share for VOYAH, by using an equal-weighted average of EV/sales and DCF valuation methodologies, the same as we apply to other EV start-ups.

DCF methodology: We derive a fair value of HKD2.4 from our DCF calculation, assuming 1% FCF perpetuity growth. For WACC, we use a 3.0% risk-free rate, 12% market return, and beta of 1.6 to calculate and derive the discount rate (WACC) of 14.0%.

EV/sales methodology: We derive a fair value of HKD4.4, based on 0.2x EV/sales over average of 2026-27E sales for VOYAH. VOYAH was listed in March 2026. Our target EV/sales multiple is lower than our target multiple of Its Chinese NEV peers (0.8-1.5x target multiple), as (1) VOYAH avoids direct competition with its parent company's mass-market (eπ, Aeolus, Forthing) and entry-level (Nanmi) brands, while sitting below M HERO's ultra-high-end positioning. However, adjacency with M HERO at the high end and limited room to move down-market mean its TAM is smaller than other EV companies, (2) limited export sales potential in the near term as it is a new brand and it is priced at the high end

Upside risks: better macro, higher volume growth in domestic and overseas market, better margin

Downside risks: competition, limited operating history, limited models, materials price hike

XPeng Inc (XPEV / XPNGF)

We derive our PO of USD19 per ADS (HKD74 per share) using an average of EV/sales valuation and DCF valuation.

DCF-based fair value: We derive a fair value of USD19.2 from our DCF calculation, with assumptions of 2% FCF perpetuity growth. We use a 3.5% risk-free rate, 11% market return and Beta of 1.2 to calculate and derive the discount rate (WACC) of 11.4%.

EV/sales-based fair value: We derive a fair value of USD18.5 from EV/sales method. We apply a target EV/sales multiple of 1.0x to 2H26-1H27E sales. The 1.0x target multiple is 1SD below historical average one-year forward EV/sales since the IPO, but higher than its EV peers, due to XPeng's higher volume sales growth, and new business like robotaxi and humanoid robot to pave long-term sales growth.

Downside risks: intensified competition from new model launches and other EV start-ups, pricing pressure amid a competitive EV market, weak macro, which would impact auto consumption.

Yongda (CYYHF)

We derive our PO of HKD0.71, using our target P/B multiple of 0.15x over its 2026E BVPS. Our target P/B of 0.15x is 2SD below Yongda's average historical one-year forward P/B in the past one year, reflecting Yongda's continued pressure in new car sales and rising challenges in aftermarket business, which may cause asset impairment.

Upside risks: better-than-expected auto sales, improvement in gross profit margin.

Downside risks to our PO: weak macro, price discounts

Zhongsheng Auto (ZHSHF)

Our PO is HKD4.5. We apply target P/E of 0.22x to 2026E BVPS. Our target P/B of 0.22x is 2SD below Zhongsheng's average historical one-year forward P/B in the past one year. This reflects Zhongsheng's continued pressure in new car sales and rising challenges in aftermarket business, which may cause asset impairment.

Upside risks: better-than-expected auto sales, improvement in gross profit margin.

Downside risks: slower-than-expected auto sales, fierce competition narrowing new cars margin

Analyst Certification

We, Ming Hsun Lee, CFA, Fiona Liang, Jessie Lo and Joey Yang, CFA, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	Anhui Yingliu	XANHF	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGSXF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNVF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XMMLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Yikai Liu, CFA
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA

NEUTRAL

	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDUGF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA

UNDERPERFORM

	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	ARCHION	XKBNP	543A JP	Shiro Sakamaki
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII IJ	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	CFMOTO	XCZOF	603129 CH	Joey Yang, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Desay SV	XGDF	002920 CH	Joey Yang, CFA
	EVE	XEVF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAL	HSAL US	Jessie Lo
	Hesai	XHGZF	2983 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQWVF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGF	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSE	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Wuxi Lead	XLDFD	470 HK	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA
NEUTRAL				
	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTFW	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	VOYAH	XRITF	7489 HK	Ming Hsun Lee, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
UNDERPERFORM				
	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Ehang	EH	EH US	Fiona Liang
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardines Matheson SEA	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherhood Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	SAIC Motor	XZNFJ	600104 CH	Ming Hsun Lee, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYHFF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	ZSINF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

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Equity Investment Rating Distribution: Autos Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	75	56.39%	Buy	41	54.67%
Hold	28	21.05%	Hold	18	64.29%
Sell	30	22.56%	Sell	17	56.67%

Equity Investment Rating Distribution: Chemicals Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	67	48.55%	Buy	29	43.28%
Hold	29	21.01%	Hold	19	65.52%
Sell	42	30.43%	Sell	22	52.38%

Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	39	59.09%	Buy	18	46.15%
Hold	12	18.18%	Hold	9	75.00%
Sell	15	22.73%	Sell	9	60.00%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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